

THE FUTURE OF THE TOURISM INDUSTRY IN CYPRUS: DIVIDED OR REUNITED?

An Empirical Study by an Academic Research Team Consisting of:

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Disclaimer

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PREFACE

An independent group of Greek Cypriot, Turkish Cypriot and international academic researchers are engaged by the Management Centre of the Mediterranean to carry out a research of the tourism industry on both sides of the Green line to answer the question; what happens to tourism in both parts of the island with or without a solution.

Tourism industry has traditionally been the backbone of the economy in Cyprus since the independence in 1960. Even after the separation of the two economies in the north and south both sides benefited from tourism revenues although the south was in a more advantageous position being without any political constraints such as lack of political recognition as the north was experiencing.

In the past few years there is a lot of discussion on both sides about the future of tourism on the island due to uncertainties and instabilities in the relative sectors. The main themes of these discussions are first what are the costs and benefits of a divided or reunited tourism industry on the island?, and second what type of tourism strategy is needed for Cyprus in order to carry the industry in the next 10-20 years and contribute to the sustainable development of the island?. The focus of this study has been to find some answers to both of these questions by asking the people who are active in the industry and have hands on experience and understanding of the situation.

The findings of this particular study suggests that a united tourism strategy based on special interest tourism will be a more sustainable and profitable way forward rather than keeping two separate tourism industry on the island dependable on mainly mass tourism. 98% of the Turkish Cypriot respondents and 79% of the Greek Cypriot respondents are seeing a win-win situation with a joint tourism industry. More than 50% of the TC sees a 20-30% percent increase in their turnover in two years and more than 50% of the GC sees more than 10% increase in their turnover in three years in case there is a joint effort.

The econometric analysis looking at demand sensitivity suggests that high income groups who are attracted to special interest tourism will be more suitable for a joint tourism industry on the island

It should be mentioned at this point that the period of the study was before the Presidential elections in the south held in February 2008. There is no empirical evidence to use in order to comment about how the mood of people changing towards prospects for a solution after the elections.

One cannot pretend that these questions can be answered by a single study of this sort but we are aiming to make a contribution to the better understanding of the situation in order to help the practitioners in the sector and policy makers to use these findings for more informed decision making.

I would like to thank to all members of the independent research team for their work, which lasted almost one year, to produce this paper. I also would like to extend my thanks to the British High Commission for sponsoring the study and the two events to present the findings of the study

Bulent Kanol

I. INTRODUCTION

This is an empirical study of the all-Cyprus tourism industry, defined as tourist agencies and hoteliers, in both the North and South, consisting of five principal parts:

- I.** Introduction
- II.** Profile of the industry under existing (divided) conditions (the status quo).
The profile covers a statistical description of employment, wages, profitability, and obstacles as perceived by respondents that create transactions costs that prevent higher profit margins.
- III.** A subjective analysis of expectations, fears and hopes of respondents in the North and South regarding the impact of a possible settlement acceptable to both communities on potential profits and losses.
- IV.** An econometric model of future efficiency gains of a possible settlement for All-Cyprus and the distribution of these gains between the North and South.
- V.** Conclusion, which highlights the major findings.

The basic hypothesis of the study is that a settlement acceptable to both communities will result in significant efficiency gains for all¹, or a Win-Win outcome for the entire tourism industry in the North and South as a result of expansion of foreign demand for holidays in a united Cyprus. The behavioral assumption here is that foreign tourists, being rational decision-makers carefully choosing where to holiday, will prefer a united rather than a divided destination. They will have free and unimpeded access to more historic sites, expanded facilities, more competition, “free skies” and overall wider choices.

¹ Efficiency gains can be defined as “peace dividend” following an agreed settlement between Turkish- and Greek Cypriots in Cyprus. The peace dividend is expected to be huge. For a recent empirical study of estimated peace dividend see the study: *The Day After: Commercial Opportunities Following a Solution in the Cyprus Problem* by Fiona Mullen, Ozlem Oguz and Praxoula Antoniadou Kyriacou, PRIO Cyprus Center Study 1/2008.

Equally significantly, unification will enhance prospects of cooperative tourism development between investors and operators in both parts of the currently divided island. The econometric model highlights the locations from which this demand is expected by the respondents.

The empirical information on which the study is based is generated by respondents in the tourism industry. A standard questionnaire was used by the Research Teams in both areas (see Appendix I). In the North, a total 70 respondents, and a total of 92 in the South, voluntarily provided the required information during the survey stage of the study. In addition, Key Informant Surveys were undertaken for more detailed information regarding the econometric forecasting model used in the study (see below).

II. PROFILING THE STATUS QUO

In the present divided Cyprus, two separate tourism sectors exist each operating under totally different, partly non-competing markets. In the North, the presence of the state is dominant in all facets of tourism, intended to compensate for political isolation the North is experiencing; in the South, the semi-governmental Cyprus Tourism Organization is responsible for strategic planning, promoting and regulating the tourism product, under the aegis of the Ministry of Commerce, Industry and Tourism. While there are direct flights to the airports in the South, this is not available in the North where flights have to go through Turkey generating significant time delays and indirect costs for tourists.

In both areas, there is a corresponding publicly owned and managed national airline, Cyprus Airways for the South and Turkish Cypriot Airlines in the North. Both are high-cost, over-staffed and loss-making enterprises.

Increasingly, however, customers are taking advantage of competition as a result of freedom of movement between North and South. Thus, Turkish Cypriots and EU citizens (e.g. British and German) residing in the North are able to use Larnaca airport, while Greek Cypriots can use Ercan to fly to Turkey, thereby taking advantage of lower fares (it should be noted, however, that the use of Ercan by Greek Cypriots is frowned upon by the government).

THE TOURISM INDUSTRY IN THE SOUTH

Business climate

The survey among Greek Cypriot tourism enterprises showed that the vast majority of the respondents (69.6%) saw a rising trend in gross revenues, while 19.6% saw their gross revenues decreasing in the past twelve months. A small number (5.4%) of the respondents said their gross revenue was unchanged. More than a third of the respondents saw their revenues increase in the range of 1 to 5%, while just another third estimate their revenue increase at over 5% (Table V).

TABLE V: BUSINESS CLIMATE

Increased gross revenue	Frequency	Percent
-1-5%	9	9.8
-5-10%	6	6.5
-10-20%	2	2.2
20-30%	1	1.1
More than -30%	0	0
+1-5%	32	34.8
+5-10%	17	18.5
+10-20%	13	14.1
+20-30%	2	2.2
More than +30%	0	0
No change	5	5.4
No answer	5	5.4
Total	92	100

Employment, pay and personnel qualifications

The 17 travel agencies that participated in the survey employ a total of 546 employees. They have 75 degree-holders, 228 holders of other tertiary qualifications and 223 unskilled workers. Average monthly gross pay for degree-holders is CYP1,061 (€1,813), for holders of other tertiary degrees CYP875 (€1,495) and for unskilled labor CYP568 (€970)².

² The above numbers (75+228+223) do not add to 556 because some respondents provided the total number of their employees without indicating qualifications.

**TABLE VIA: EMPLOYMENT, PAY AND PERSONNEL QUALIFICATIONS IN
TOURIST AGENCIES**

	Frequency	Minimum	Maximum	Mean	Std. Deviation
Number of employees	17	4	100	32.1	28.4
BA Degree holders	17	0	24.0	4.4	6.3
Other qualification	16	0	50.0	14.2	14.7
Unskilled workers	15	0	68.0	14.9	19.8
Gross pay for BA (CYP)	14	0	2000.0	757.7	623.2
Gross pay for other qualification (CYP)	13	0	1600.0	673.2	423.7
Gross pay for unskilled (CYP)	12	0	650.0	472.9	166.3
TC employees with BA	17	0	1.0	.06	0.2
TC employees with other qualification	17	0	.0	.0	.0
TC employees with unskilled	16	0	.0	.0	.0

Most of the workers in the surveyed travel agencies are Greek Cypriots (427) followed by 114 non-Cypriots and one Turkish Cypriot. There are 67 Greek Cypriots and one Turkish Cypriot degree holders, 202 Greek Cypriots holders of other tertiary degrees, and 158 unskilled workers. The number of non-Cypriot degree-holders is 12, of holders of other tertiary education is 56 and of unskilled is 45³.

The mean of employees in the hotel industry sample, consisting of 75 enterprises, was 107; with an average per hotel of 8 degree-holders, of 46 holders of other tertiary qualifications and of 50 unskilled workers.⁴ The average monthly gross pay of degree holders in the hotel industry amounts CYP977 (€1,670), for holders of other tertiary degrees CYP711 (€1,214) and for unskilled workers CYP499 (€853).

The Greek Cypriot hotel enterprises that participated in the survey employ a total of 23 Turkish Cypriots, one of whom is a degree-holder; two are holders of other tertiary qualifications, and 20 are unskilled workers. They also employ a total of 1,930 non-Cypriots: 59 degree-holders, 770 with other tertiary education and 1,101 unskilled workers. Finally, they employ 4,070 Greek Cypriots: 420 degree-holders, 1,878 tertiary educated and 1,772 unskilled workers (TableVIB).

³ The above numbers of degree holders (67+1+12), holders of other tertiary qualifications (202+56) and unskilled workers (158+45) do not sum up to 556 for the same reason stated in fn. 1.

⁴ The separate categories again do not quite add up to the total – see fn. 1.

TABLE VIB: EMPLOYMENT, PAY AND PERSONNEL QUALIFICATIONS IN HOTEL ENTERPRISES

	Frequency	Minimum	Maximum	Mean	Std. Deviation
Number of employees	75	5.0	550.0	106.9	107.3
BA Degree holders	74	0	110.0	8.2	15.5
Other qualification	74	0	330.0	46.3	60.5
Unskilled workers	72	0	214.0	49.8	50.4
Gross pay for BA	63	0	2000.0	977.4	529.6
Gross pay for other	67	0	1500.0	710.6	293.0
Gross pay for unskilled	63	0	950.0	499.4	192.8
TC employees with BA	69	0	1.0	0.01	0.1
TC employees with other qualification	67	0	1.0	0.03	0.1
TC employees with unskilled	69	0	5.5	0.3	0.1

Obstacles facing Tourism

Greek Cypriot enterprises identified the low frequency and high cost of flights to Cyprus as the major obstacle that the sector faces. One third of the respondents said it was the first obstacle they faced, 29.3% that it was the second most important and 10.9% the third most important. The high cost of holidays on the island is deemed the second most important obstacle for the tourism industry; 20.7% said it was the most important obstacle, 20.7% said it was the second most important obstacle and 14.1% said it was the third most important. The lack of trained personnel and wages was identified as third most important obstacle (Table VII).

TABLE VII: MAJOR OBSTACLES

Obstacle	1st Rank (%)	2nd Rank (%)	3rd Rank (%)
Lack of a settlement/divided country	8.7	2.2	3.3
Frequency & cost of flights to Cyprus	33.7	29.3	10.9
Lack of trained personnel/cost of personnel	16.3	13	13
High cost of holidays in Cyprus	20.7	20.7	14.1
Intense competition from TCs/GCs	2.2	5.4	3.3
Not giving customers the right product	2.2	7.6	10.9
Other	10.9	4.4	13

The fourth largest group of respondents identified other reasons as the major obstacles. Many were related to international competition and environmental degradation; Cyprus's image; lack of marketing; lack of infrastructure; and the cost of holidays in Cyprus. The competition from the Turkish Cypriot tourism industry is not perceived as a major obstacle.

Cooperation between North and South

Greek Cypriot tourist professionals are reluctant to engage in joint activities with Turkish Cypriot tourism professionals given the current political situation in Cyprus. Only 10.9% of the respondents participate in such activities. Table VIII shows the reasons for the lack of cooperation, the main factors being lack of interest and "other"; more specifically, reservations rested upon the current political situation, ethical considerations, resentment towards current users of Greek Cypriot properties in the north and the lack of a legal framework⁵.

⁵ Some respondents gave the following answers when asked to explain why they were not involved in cooperation with Turkish Cypriots: "inappropriate", "invaders occupied my home my business", "it is not the right situation", "it is illegal", "we do not want", "still a problematic situation", "we must solve the problem first", "by mistake I was born a Greek Cypriot", "since my country is divided and illegally occupied I consider it a treachery to do so", "unethical", "not allowed", "there are insurance problems", "because the Cyprus problem is still pending".

TABLE VIII: COOPERATION BETWEEN THE TWO SIDES

Engaged in North-South tourism	Frequency	Percent	Observation-explanation
Yes	10	10.9	Arranging visits to other side (n=7) Cooperating with tour guides or agencies on the other side (n=4) No information (n=4)
No	82	89.1	Not profitable (n=4) Not interested (n=39) Other reasons (n=36) No information/response (n=15)
Total	92	100.0	

THE TOURISM INDUSTRY IN THE NORTH

In most of the day-to-day administration, the industry is self-governing through the Association of Turkish Cypriot Hoteliers and Tourist Agencies. However, the department in charge of Tourism administers a large Tourism Development Fund, organizing and participating in international fairs, marketing and publicity for the annual tourism season, which peaks in summer.

In addition, there is a large investment incentive program for development of additional capacity in the tourism sector through new hotels and tourism facilities. This incentive program is administered by the Planning Organization and a certificate of approval provides exemption from income tax for a stipulated number of years, and duty free imports and other tax privileges to foreign and domestic investors.

Our survey results indicate that the tourism industry in the North although not stable, none of the 70 respondents suffered declining revenues in the last 12 months, almost four out of every five made between 10 and 20% higher gross revenues, 17.1% reported revenue increases in excess of 30%, and just three realized only between 5% and 10% increases (Table I).

TABLE I: GROSS REVENUE MARGINS IN THE LAST 12 MONTHS

Increased gross revenue	Frequency	Percent	Cumulative Percent
5-10%	3	4.3	4.3
10-20%	54	77.1	81.4
20-30%	12	17.1	98.8
More than 30%	1	1.4	100.0
TOTAL	7.0	100.0	

Employment, pay and personnel qualifications

Employment, pay and qualifications of personnel in the tourism industry are shown in Tables IIA for tourist agencies and Table IIB for hotels.

TABLE IIA: EMPLOYMENT, PAY AND PERSONNEL QUALIFICATIONS IN TOURIST AGENCIES (n=21)

	Frequency	Minimum	Maximum	Mean	Std. Deviation
Number of employees	20	3	16	4.8	2.9
BA Degree holders	18	1	2	1.4	0.5
Other qualification	20	2	5	2.8	0.9
Unskilled workers	3	1	2	1.3	0.6
Gross pay for BA	18	1250	2100	1600.0	230.1
Gross pay for other	20	1000	1650	1345.0	195.3
Gross pay for unskilled	3	1000	1250	1116.7	125.8
GC employees with BA	0				
GC employees with other qualification	0				
GC employees with unskilled	0				

The mean size of tourist agencies in the North is 4.8 employees, with 1.4 university graduates holding BA, 2.8 having other qualifications, and 1.3 being unskilled. The mean pay for those with BA is 1,600 YTL⁶ per month, 1,345 YTL for those with other qualifications, and 1,117 YTL for unskilled workers. No Greek Cypriot workers were employed in tourist agencies in the North.

⁶ This translates to about 800 EUR, 1 YTL being about 0.50 EUR (March 2008).

TABLE IIB: EMPLOYMENT, PAY AND PERSONNEL QUALIFICATIONS IN HOTELS (n=49)

	Frequency	Minimum	Maximum	Mean	Std. Deviation
Number of Employees	49	3	240	49.8	57.5
BA Degree holders	34	1	80	8.0	14.5
Other qualification	46	1	90	14.1	19.0
Unskilled workers	48	1	170	32.2	34.2
Gross pay for BA	33	1000	10000	2268.2	1468.2
Gross pay for other	46	200	3000	1632.6	430.0
Gross pay for unskilled	47	800	1500	1228.7	223.3
GC employees with BA	0				
GC employees with other qualification	0				
GC employees with unskilled	0				

For the 49 hotels in the North that participated in the survey, the mean employment was 49.8, with 8.0 BA degree holders, 14.1 other qualifications, and 14.1 unskilled workers. The gross pay for workers with BA degree was 2,268 YTL per month, 1,633 for workers with other qualifications, and 1,229 YTL for unskilled workers.

Obstacles facing Tourism

The isolation experienced by Northern Cyprus is perceived as the greatest obstacle the tourism industry faces. No less than 84.3% of respondents cited the low frequency and high cost of flights to the island as their number one obstacle. Just over half gave lack of trained personnel/cost of personnel as the second ranked obstacle, and 47.1% ranked high cost of holidays in Cyprus as the third obstacle. By comparison other obstacles ranked relatively low (Table III).

TABLE III: OBSTACLES FACED BY THE TOURISM INDUSTRY IN NORTH CYPRUS

Obstacle	1 st Rank (%)	2 nd Rank (%)	3 rd Rank (%)
Lack of a settlement/divided country	8.6	18.6	17.1
Frequency & cost of flight to Cyprus	84.3	11.4	1.4
Lack of trained personnel/cost of personnel	7.1	51.4	18.6
High cost of holidays in Cyprus	4.3	17.1	47.1
Intense competition from TCs/GCs		1.4	10.0
Not giving customers the right product			1.4
Other			1.4

Cooperation in Tourism between North and South

In the existing circumstances, there is limited cooperation between tourist agencies and hotel enterprises in the North and their counterparts in the South. Of those surveyed, only 20% reported any kind of engagement with owners or managers of tourism establishments in the South. Two types of cooperation were cited: (1) arranging visits to the other side, and (2) cooperating with tour guides or agencies. The reasons, for the remaining 80%, why they are not engaged in any activity with their counterparts in the South, were – for the majority – that they are not interested, while a smaller sub-sample indicated that they did not regard this type of engagement as profitable (Table IV).

TABLE IV: NORTH-SOUTH COOPERATION IN TOURISM

Engaged in North-South tourism	Frequency	Percent	Observation- explanation
Yes	14	20.0	Arranging visits to other side (n=8) Cooperating with tour guides or agencies on the other side (n=5) No information (n=1)
No	58	80.0	Not profitable (n=15) Not interested (n=40) No information/response (n=15)
Total	100.0	100.0	

III. EXPECTATIONS, FEARS AND HOPES IN THE TOURISM INDUSTRY IN THE EVENT OF A POSSIBLE UNITED CYPRUS

In this Part of the study we shall focus on how a possible settlement of the Cyprus Problem is expected by respondents to impact the tourism industry. Expectations of likely impact of a possible settlement were contrasted against the prospect of continuation of the current (divided) situation. Respondents were asked to give their subjective opinions of the impact of a possible settlement in terms of the following four options: (i) win-win for both sides, (ii) win for Greek Cypriots and loss for Turkish Cypriots, (iii) loss for Greek Cypriots and win for Turkish Cypriots and (iii) loss for both sides.

RESPONDENTS IN THE SOUTH

The Existing Situation (Status Quo) Scenario:

Among Greek Cypriot tourism enterprises, there is a high degree of uncertainty over the future of the industry if the status quo remains unchanged. There is on the other hand, confidence over the future in the case of a settlement. Table XVII shows that the most common view was of a continuation of the current situation leading to a lose-lose impact in both communities. Over a quarter of the respondents apparently agreed that it would have a negative impact on tourism in the south, but a positive impact on tourism in the north. This leaves a small but significant one fifth of respondents with the view that a continuation of the status quo will have a positive impact on tourism in the south with diverging opinions on what happens to the north.

TABLE XVII: IMPACT OF THE CONTINUATION OF THE EXISTING SITUATION

Likely Impact:	Frequency	Percent
Win-win for both sides	11	12
Win for GCs and lose for TCs	7	7.6
Win for TCs and lose for GCs	25	27.2
Lose for TCs and lose for GCs	41	44.6
N/A	8	8.7
Total	92	100.0

Table XVII shows that in the case of a continuation of the current situation, opinions are divided over the performance of tourism enterprises in the future. A decline in 2008/09 is expected by 30.5% of respondents; a decline in both 2010/11 and 2012/13 is expected by 31.5% of respondents. An increase in business in 2008/09 is expected by 28.3%; an increase in both 2010/11 and 2012/13 is expected by 27.1%. In most cases, the anticipated increase or decrease in business lies below 10% (Table XVIII).

TABLE XVIII: TURNOVER EXPECTATIONS IF THE EXISTING SITUATION CONTINUED AT SPECIFIED DATES

Anticipated business if current situation continues			
Change in period	2008/9	2010/11	2012/13
>-30%	0.0	0.0	1.1
-21%-30%	0.0	1.1	0.0
-11-20%	3.3	3.3	4.3
<-10%	27.2	27.2	26.1
0%	12.0	12.0	12.0
<10%	25.0	21.7	20.7
11-20%	3.3	4.3	3.3
21-30%	0.0	1.1	1.1
>30%	0.0	0.0	2.2
No answer	29.3	29.3	29.3
Total	100.0	100.0	100.0

The continuation of the current situation limits opportunities for cooperation between Greek and Turkish Cypriot tourism enterprises, as only 20.7% of the respondents said that joint activities were possible (Table XIX). Such activities could include joint marketing (9.9%), participation in joint tourism fairs abroad (8.7%) or other joint operations such as excursions to the other side, reciprocal visits and other forms of cooperation. Of those respondents who do not consider joint activities possible if the current situation continues, almost one third (32.6%) are not interested in such activities, while 4.3% consider them unprofitable. At the same time, 37% justify their reluctance to engage in joint activities with Turkish Cypriot enterprises (in the event of the continuation of the current situation) by the lack of a legal framework.

TABLE XIX: POSSIBILITY OF JOINT TOURISM ACTIVITY IF THE EXISTING SITUATION CONTINUED

Response:	Frequency	Percent
Yes	19	20.7
No	70	76.1
Lack of interest	30	32.6
Lack of profitability	4	4.3
Other reasons	34	37.0
N/A	3	3.3
Total	92	100.0

As Table XX shows, a very large majority of the respondents believes that a settlement of the Cyprus problem will have a positive impact on the tourism industry of the island as a whole. A small number of respondents foresee loss for the tourism industry in the south. No respondent predicts a gain for the Greek Cypriots at the expense of Turkish Cypriots.

TABLE XX: THE IMPACT OF A SETTLEMENT

Likely Impact:	Frequency	Percent
Win-win for both sides	73	79.3
Win for GCs and lose for TCs	0	0
Win for TCs and lose for GCs	10	10.9
Lose for TCs and lose for GCs	3	3.3
N/A	6	5.4
Total	92	100.0

In the event of a settlement of the Cyprus problem, more than half the interviewed Greek Cypriot tourism enterprises expect an increase in the first year following the settlement (See Table XXI). Most of these expect the increase to be between 0 and 10%; a small number see increases of between 10% and 20%. More than half the respondents also foresee increases in the second year following a settlement (in this case a higher proportion foreseeing the larger increase). Similarly, in the third year after a settlement, more than half foresees an increase, with an even bigger proportion expecting increases greater than 10%.

TABLE XXI: TURNOVER EXPECTATIONS IN THE CASE OF A SETTLEMENT

Anticipated business if current situation continues			
Change in period	2008/9	2010/11	2012/13
>-30%	0.0	0.0	0.0
-21%-30%	0.0	0.0	0.0
-11-20%	2.2	1.1	1.1
<-10%	4.3	6.5	6.5
0%	12.0	12.0	12.0
<10%	43.5	33.7	29.3
11-20%	10.9	17.4	16.3
21-30%	2.2	4.3	5.4
>30%	0.0	0.0	4.3
No answer	25.0	25.0	25.0
Total	100.0	100.0	100.0

The next table (Table XXII) provides the explanations for the expectations of an increase in business shown in Table XXI. The main explanations, in declining order of importance, are additional flights, increase in volume, joint marketing, availability of personnel and additional airports. Other factors mentioned include security and stability, and positive publicity about Cyprus.

TABLE XXII: SETTLEMENT WILL IMPACT THROUGH

Improvements because of:	%
Additional airports	56.5
Additional flights	78.3
Increasing volume	73.9
Joint marketing	67.4
Availability of personnel	63.0
Other	14.1

As Table XXIII shows, Greek Cypriot respondents expect an increase in arrivals from all major markets, especially from the UK, Germany and Russia in the event of a settlement. In addition, expectations are high regarding business with Turkey, as three in four respondents expect to start business with this market (Table XXIII).

TABLE XXIII: IMPACT OF A SETTLEMENT ON TOURISM FLOWS

Country of origin	No. of Respondents	Direction of expected change (+ means up; - means down, = no change)
UK	81 2 1 8	+ - = N/A
Germany	79 3 2 8	+ - = N/A
Greece	56 10 1 25	+ - = N/A
Turkey	69 4 1 18	+ - = N/A
Scandinavia	64 7 1 20	+ - = N/A
Russia	68 5 1 18	+ - = N/A
Arab states	63 6 1 22	+ - = N/A
Israel	64 10 1 17	+ - = N/A
Other countries	5	+

Overall Opinion on Settlement Prospects

There is, among the Greek Cypriot respondents a clear view that a settlement would have a positive impact on the tourism industry in Cyprus. However, most of the respondents are pessimistic about the chances of a settlement being reached in the next five years (Table XXIII). When asked how optimistic they are about the possibility of a settlement acceptable to both sides, more than half answered 0 or 1, meaning “not at all optimistic” and “low level of optimism” respectively. It should be emphasized, however, that this still leaves nearly 40% of respondents with moderate, high, or extremely high levels of optimism about a settlement within five years.

TABLE XXIII: OPTIMISM FOR A SOLUTION IN THE NEXT 5 YEARS

Level of optimism	Frequency	Percent	Cumulative Percent
Not at all	35	38.0	38.9
Low	17	18.5	57.8
Moderate	17	18.5	76.7
High	17	18.5	95.6
Extremely optimistic	4	4.3	100.0
Total	90	97.8	

The picture changes, but only slightly, when respondents were asked to consider the possibility of a settlement within 10 years. In this case exactly half were not at all optimistic, or had low levels of optimism, while the other half were moderately, highly or extremely optimistic (Table XXIIIB). The average level of optimism for a solution within the next five years is 1.3 and within the next ten years 1.6 (with 0 meaning not at all optimistic and 4 extremely optimistic).

TABLE XIIIB: OPTIMISM ABOUT A SOLUTION IN THE NEXT 10 YEARS

Level of optimism	Frequency	Percent	Cumulative Percent
Not at all	27	29.3	30.0
Low	18	19.6	50.0
Moderate	19	20.7	71.1
High	14	15.2	86.7
Extremely optimistic	12	13.0	100.0
Total	90	97.8	

RESPONDENTS IN THE NORTH

The Existing Situation (Status Quo) Scenario:

Turkish Cypriot respondents clearly regarded the existing situation with a strong sense of pessimism. Almost 3 out of 4 replied that if the existing (divided) situation continues, Greek Cypriot tourist entrepreneurs will win and they themselves will lose. Other respondents considered that under the existing conditions, the most likely scenario would be loss for both sides. No respondent regarded the present circumstances win-win for both sides or for the Turkish Cypriots (Table IX).

TABLE IX: IF THE EXISTING SITUATION CONTINUES

Likely Impact:	Frequency	Percent
Win for GCs and loss for TCs	52	74.3
Loss for GCs and loss for TCs	18	25.7
Win for TCs and loss for GCs	0	0
Win-Win for both sides	0	0
Total	70	100.0

If the existing situation continued, 70% of respondents expected an annual increase in their turnover of less than 10%, 25.7% expected increased turnover of between 10-20%, and only 4.3% expected increased turnover of between 20-30%. None expected a higher increase (Table X).

TABLE X: EXPECTATIONS OF INCREASED TURNOVER IF THE EXISTING SITUATION CONTINUES AT SPECIFIED DATES

Impact	Frequency	Percent 2008-9	Percent 2010-11	Percent 2012-13
Less than 10%	49	70.0	70.0	70.0
10-20%	18	25.7	25.7	25.7
20-30%	3	4.3	4.3	4.3
More than 30%	0	0	0	0
Total	70	100.0	100.0	100.0

If the existing situation continued, the majority of the Turkish Cypriot respondents were negative as regards to the prospects of cooperation in joint tourism activities with their counterparts in the South. Thus, 61.4% of respondents saw no possibility of such cooperation, compared with 38.6% who responded positively (Table XI)

TABLE XI: POSSIBILITY OF JOINT TOURISM ACTIVITY IF THE EXISTING SITUATION CONTINUES

Response:	Frequency	Percent
Yes	27	38.6
No	43	61.4
Total	70	100.0

The majority of respondents stated that, under existing conditions, they were either not interested in joint tourism activity in the South or did not find such a prospect profitable. Those respondents who expressed interest in possible joint tourism activity with counterparts in the South were especially interested in joint marketing (35.7%), and a smaller group (7.1%) stated willingness to participate in joint participation in tourism fairs abroad (Table XI)

**TABLE XII: POSSIBILITIES FOR JOINT TOURISM ACTIVITY IF EXISTING
SITUATION CONTINUED**

	Frequency	Percent
Joint Marketing	25	35.7
Participation in tourism fairs abroad	5	7.1
Missing cases	40	57.1
Total	70	100.0

The Settlement Scenario:

By contrast, Turkish Cypriot respondents, almost unanimously, viewed a possible political settlement as a Win-Win for the tourist industry in the North and South. Only one respondent felt that a political settlement would create win for the Turkish Cypriot side coupled with loss for the Greek Cypriot sides. Other options did not figure in the respondents' expectations (Table XIII).

TABLE XIII: IF THERE IS A SETTLEMENT ACCEPTABLE TO BOTH SIDES

Likely Impact:	Frequency	Percent
Win-win for both sides	69	98.6
Win for TCs and loss for GCs	1	1.4
Win for GCs and loss for TCs	0	0
Lose-lose for both sides	0	0
Total	70	100.0

Respondents were asked to reveal their expectations of increased turnover if there is a settlement acceptable to both sides at specified dates. Turkish Cypriot respondents were extremely positive about possible gains of a settlement: No less than nine out of ten expected more than 20% increased turnover; indeed 38.8% anticipated increased turnover of more than 30% (Table XIV).

TABLE XIV: EXPECTATIONS OF INCREASED TURNOVER IF THERE IS A SETTLEMENT ACCEPTABLE TO BOTH SIDES AT SPECIFIED DATES

Impact	Frequency	Percent 2008-9	Percent 2010-11	Percent 2012-13
Less than 10%	0	0	0	0
10-20%	7	10.0	10.0	10.0
20-30%	36	51.4	51.4	51.4
More than 30%	27	38.6	38.6	38.6
Total	70	100.0	100.0	100.0

Settlement was viewed as being highly positive in terms of its impact on the volume of tourists coming from major different countries. In the case of the UK, Germany and most other countries 100% of Turkish Cypriot respondents expected increased volume of in-coming tourists. Interestingly, in the case of Greece and Turkey, a large percentage of the respondents expected increased volume with still a tiny proportion of expectations for a decline (Table XV).

**TABLE XV: VOLUME OF TOURISTS FROM SELECTED COUNTRIES OF ORIGIN
IF THERE IS A SETTLEMENT ACCEPTABLE TO BOTH SIDES**

Country of origin	No. of Respondents	Direction of expected change (+ means up; - means down)
UK	70	+
Germany	70	+
Greece	66 3 1	+ - No response
Turkey	67 2 1	+ - No response
Scandinavia	69 1	+ -
Russia	70	+
Arab states	70	+
Other countries	29 21	+ No response

Overall Opinion on Settlement Prospects

Respondents were asked to rate the prospects of a settlement acceptable to both sides in the next five and ten years. The responses, shown in Tables XIIA and XIIB, indicate that Turkish Cypriot tourist industry businessmen are generally more optimistic about a settlement in the next ten years compared to the next five years. No less than 87.1% of them are not at all optimistic or regard the possibility of a settlement in the next five years as being low. None is extremely optimistic about a settlement in the next five years (Table XVIA).

TABLE XVIA: POSSIBILITY OF A SETTLEMENT IN THE NEXT FIVE YEARS

Level of optimism	Frequency	Percent	Cumulative Percent
Not at all	43	61.4	61.4
Low	18	25.7	87.1
Moderate	4	5.7	92.9
High	5	7.1	100
Extremely optimistic	0	0	100
Total	70	100	

They are more optimistic about a settlement in the next ten years. Thus, only 8.6% of them expect no settlement in the next ten years (Table XVIB). Just over half (51.4%) have low levels of optimism about a settlement in the next ten years and a further 27.1% have moderate level of optimism. One out of eight is highly or extremely optimistic about a settlement in the next decade.

TABLE XVIB: POSSIBILITY OF A SETTLEMENT IN THE NEXT TEN YEARS

Level of optimism	Frequency	Percent	Cumulative Percent
Not at all	6	8.6	8.6
Low	36	51.4	60.0
Moderate	19	27.1	87.1
High	6	8.6	95.7
Extremely optimistic	3	4.3	100
Total	70	100	

Key Informants Survey

In addition to the survey reported above, the Research Team conducted a limited Key Informants Survey in order to collect opinions of well-informed individuals about the current status quo and future prospects in the tourism industry. The transcripts of the interviews are reproduced in Appendix III.

TRANSACTION COSTS AND EFFICIENCY GAINS IN A POSSIBLE UNITED CYPRUS

The existing status quo in the tourism industry is high-cost, resulting in high transaction and operating costs. To give just one example, there are two separate loss-making national airlines, Cyprus Airways in the South, and Turkish Cypriot Airlines in the North. According to newspaper reports⁷, the former airline made a loss of CYP 22.6 million in 2005, a further but much reduced loss of CYP 4.8 million in 2006, and in 2007 it received a 78 million euro loan from the Hellenic Bank in order to “improve the economic results of the airline” (Cyprus Airways recently announced that it made a profit in 2007).

The Turkish Cypriot Airlines (TCA) is a state-owned company. It is also loss-making owing to a variety of operational and managerial reasons, including in particular over-staffing and lack of direct flights to major destinations.

These high cost conditions can only be overcome if there is significant expansion of the tourism industry with substantial foreign demand. Will a political settlement stimulate foreign demand for Cyprus as a more attractive destination? In theory it should owing to a variety of reasons, including attractiveness of a unified country and efficiency gains from economies of scale.

Opening Marash/Varosha, now a closed city in ruins, with a pre-1974 capacity of over 10,000 hotel rooms, alone can be expected to provide a huge expansion. The required investment to create additional capacity will generate a powerful ‘win-win’ opportunity for the tourism industry on both sides.

However there are economic and operational problems, partly management-related, partly structural. For one thing, there is intense competition amongst airlines. CA, which is state-owned, faces fierce competition from airlines that are privately run and thus have more flexibility to operate under present conditions. Low cost airlines are also entering the market and

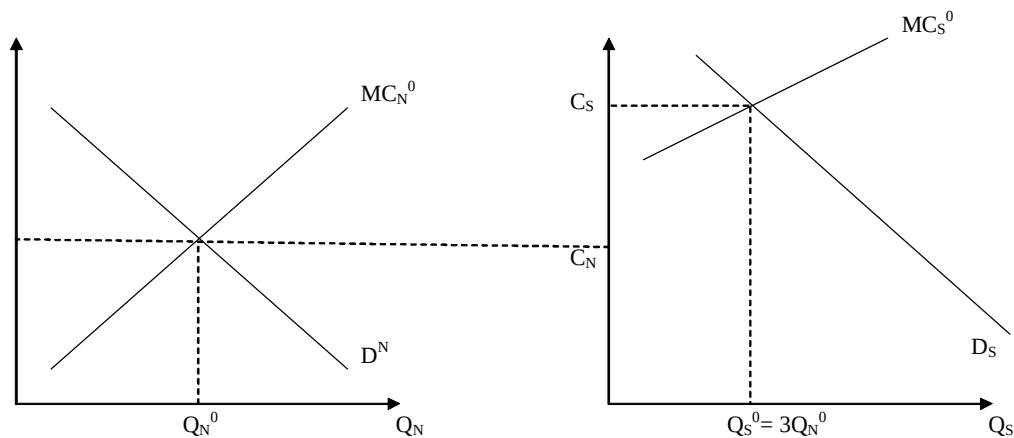
⁷ “Cyprus Airways gets loan of 78 million euro” CYPRUS TODAY , May 12-18, 2007, p. 10

becoming a various serious threat (e.g. Easyjet, Sky Europe, Blue Air, Jazeera Airways, Flyglobespan, Monarch Airlines, Jet2.com). In addition, the market is fully deregulated and somehow CY cannot attain profitability with its current structure (decision making is slow and ineffective, often decisions are made by people who are not airline professionals).

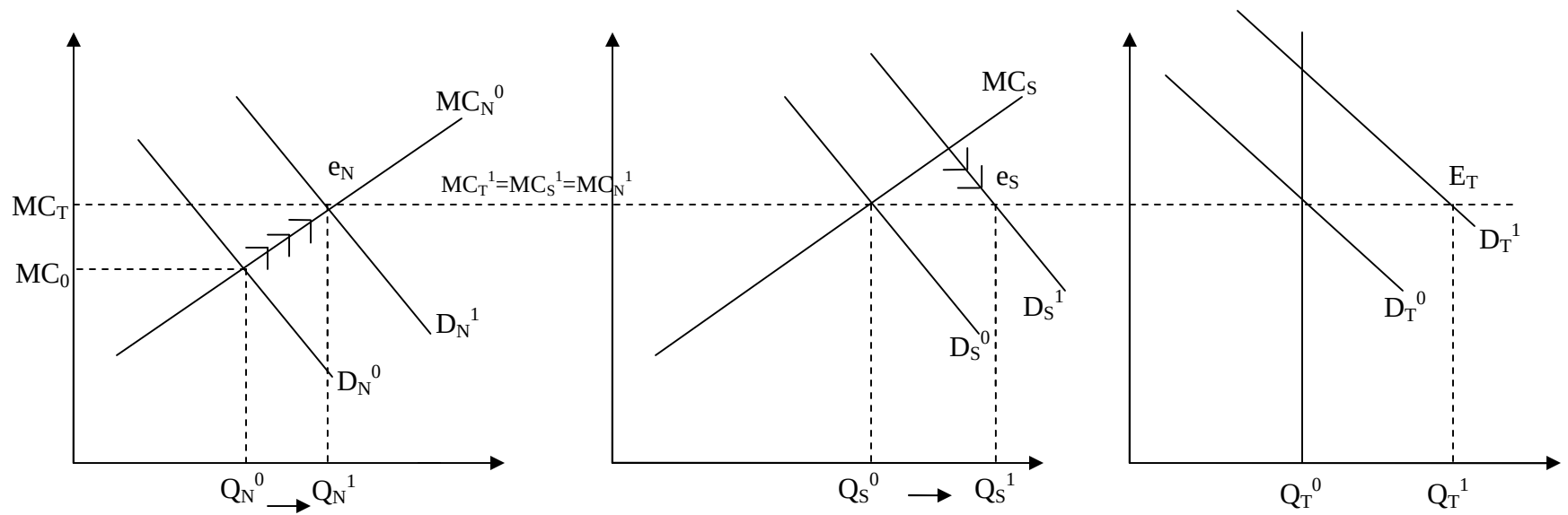
Similar conditions prevail in the North. Two publicly owned airlines, CTA and Turkish Airlines, compete fiercely with private carriers (e.g. Pegasus and Atlas Air). In many cases political appointments lead to over-staffing; decision-making is slow, there is a lack of meritocracy causing demoralization; and there is also inadequacy of fleet, etc.

Yet, these management and structural obstacles may be overcome by a political settlement that would effectively increase foreign demand for Cyprus as a tourist destination. Fig. 1 below illustrates this prospect.

Figure 1.



Panel (A) Divided Country, Two Separate Tourist Markets



Panel (B) Unified Country, Price and Cost Convergence in a Larger Market

The theoretical model is illustrated above in Fig. I. Panel (A) relates to the existing divided markets scenario, whereas Panel (B) refers to a unified tourist market in All-Cyprus. D_N describes foreign tourist demand for the North and similarly D_S relates to the South. In Panel (A), what is significant is the cost differential C_S and C_N favoring the North. In the event of an acceptable settlement for both sides, a united Cyprus is expected to become a more attractive destination and D_T^0 will shift outwards to D_T^1 generating more business in both zones with convergence of costs and prices at MC_T .

MCT is the All-Cyprus unit cost (or marginal cost) of delivering service to customers in the tourism industry. The interaction of D_T^1 and MC_T determine the total tourist arrivals in Cyprus through the international airport at Larnaca, Paphos and at Ercan and Gecitkale in the North as well as seaports. In 2006, the total number of tourist arrivals in the North was about 0.7 million, and the corresponding number for the South was 2.4 million, reflecting higher capacity in the tourism industry.

Under unified Cyprus, there will be higher foreign demand, but costs and prices will converge. The additional tourist inflow will be allocated between the North and South, according to available capacity, with costs and prices equalized. Both sides will benefit, most of the gains accruing to the South, the larger market. In a united Cyprus there will be a Win-Win outcome for the tourism industry, leading to efficiency gains.

Is this win-win scenario likely? Tourism industry representatives are in the best position to answer this question that is, in reality, an empirical one. We attempted to get information from these representatives in two ways: First, through the responses of respondents in the surveys. Secondly, we conducted specific Key Informant Surveys for detailed information from knowledgeable stakeholders of the tourism sector. Additionally, a special econometric model was formulated and applied for both the North and the South to identify the most important determinants of international demand for tourism. We now provide information about this econometric application.

IV. MODELING INTERNATIONAL TOURISM DEMAND FOR NORTH AND SOUTH CYPRUS (UNDER STATUS QUO)

In this study, we estimated the international tourism demand for the North and South separately. In the estimation exercise tourist arrivals per capita is the dependent variable and income per capita, cost of living (proxy for tourist price index) are the independent variables. The data fitted in the case of the North relate to the three top tourist sending countries namely, Turkey, the UK, and Germany. In the case of the South, the three top countries are Greece, the UK, and Germany. In each case actual annual data were used to make the time series analysis for the period 1980 to 2006.

The Econometric Modelling

Witt and Martin (1987) developed an econometric model for international tourism demand. We will use a modified version, which is explained below in double logarithmic form.

$$\ln A_{ijt(t-1)}/P_{j(t-1)} = \beta_1 + \beta_2 \ln INC_{i(t-1)} + \beta_3 \ln (COL_{(t-1)}) + \beta_4 \ln(A_{ij(t-1)}/P_{j(t-1)}) + \beta_5(DM) + U_{ijt}$$

A_{ijt} is the number of arrivals from origin i to destination j in year t .

P_{it} is the population of origin i in year t .

IN_{it} is the real national income per capita in origin i in year t .

COL_t is the cost of living variable (2000=100).

$A_{ij(t-1)}/P_{j(t-1)}$ is the lagged dependent variable.

DM is the dummy variable to measure the effect of 1991 Gulf crisis.

U_{ijt} is the random disturbance term.

The countries corresponding to $i= 1$ to 3 are, 1= Turkey, 2=UK, and 3=Germany (to the North) and $i= 4$ to 6 are, 4=Greece, 5=UK, and 6=Germany (to the South)

Table XXIV summarizes the results of the econometric estimations based on methodology explained in detail in Appendix . Economic theory clearly states that the ‘expected’ sign for the income coefficient should be positive, the cost of living coefficient negative, break down dummies negative, and the lagged dependent variable coefficient positive. It should be born in mind that tourists do not adjust their patterns of consumption immediately to changes in relative prices and income, and technical rigidities may prevent producers from adjusting instantaneously to changes in demand (See Kulendran, 1996). Therefore, as emphasized by Martin and Witt (1987), the lagged dependent variable is sometimes included in tourism demand functions to allow for habit persistence and supply rigidities.

Table-XXIV Estimated short-run tourism demand dynamic models.

1. Turkey to N. Cyprus (1980-2006)
$\nabla A1 = 0.033 + 1.139 \nabla INC1_{t-1} + 0.001 \nabla COL1_{t-4} + 0.293 \nabla A1_{t-1} - 0.300 DM91 - 0.713 U_{t-1}$
(0.71) (2.08) (0.04) (2.16) (-2.20) (-2.43)
2. UK to N. Cyprus (1986-2006)
$\nabla A2 = 0.167 + 8.645 \nabla INC2_{t-1} - 0.127 \nabla COL2_{t-1} - 0.064 \nabla A2_{t-1} - 0.455 DM91 - 0.623 U_{t-1}$
(5.66) (3.03) (-3.92) (-0.49) (-3.11) (-2.49)
3. Germany to N. Cyprus (1987-2006)
$\nabla A3 = 0.042 + 0.607 \nabla INC3_{t-1} - 0.102 \nabla COL3_{t-1} + 0.344 \nabla A3_{t-1} - 0.507 DM91 - 0.684 U_{t-1}$
(0.237) (0.138) (-2.427) (2.305) (-2.114) (-2.110)
4. Greece to S. Cyprus (1982-2006)
$\nabla A4 = 0.054 + 0.460 \nabla INC4_{t-1} + 0.489 \nabla COL4_{t-1} + 0.082 \nabla A4_{t-1} - 0.688 U_{t-1}$
(2.486) (0.369) (1.848) (0.859) (-3.280)
5. UK to S. Cyprus (1984-2006)
$\nabla A5 = -4.590 + 0.448 \nabla INC2_{t-1} + 0.286 \nabla COL5_{t-1} + 2.954 \nabla A5_{t-1} - 0.150 DM91 - 3.253 U_{t-1}$
(-2.158) (2.128) (0.958) (4.418) (-3.525) (-4.572)
6. Germany to S. Cyprus (1984-2006)
$\nabla A6 = 0.055 - 1.849 \nabla INC3_{t-1} - 1.087 \nabla COL6_{t-2} + 0.800 \nabla A6_{t-1} - 1.003 DM91 - 1.362 U_{t-1}$
(0.943) (-0.882) (-3.192) (3.446) (-8.900) (-4.657)

For Sources and Methodology, see Appendix II

In the North case, the statistically significant independent variable explaining variation in per capita tourist arrival are (in order of importance) national income per head for Turkish and British tourists and cost of living for British and German tourists. In the case of the South, national income per head is significant for British tourist only while cost of living is significant only for Germans. Our estimation model also indicates that repeat tourism is significant for both the North and the South. In the case of the South the British are highly significant for repeat tourism while in the North Turkish and German repeat tourist are significant but to a lesser extent.

Our estimated results suggest that the policy makers must promote high income tourism product (such as special interest packages) rather than mass tourism for North Cyprus. Cost of living in the North is the main determinant of the British and German tourists choosing the North as a holiday destination.

For the South, our results indicate that national income per head is the most important determinant for the British tourist arrivals, while the cost of living variable is similarly the most important in the case of German tourist arrivals. It is therefore suggested that the policy makers in the South must promote special interest tourism rather than mass tourism for the British, while keeping in mind that German holiday-makers are especially sensitive to the cost of living in the South. The Greek travel agents and hotel owners should be particularly sensitive to the price sensitivity of the German tourist market.

V. CONCLUSIONS AND HIGHLIGHTS

All Cyprus

Revenue and Profitability under Status Quo: In the present (divided) context, tourism industry appears to be on rising revenue trend overall but not stable and sustainable, and it is generally felt that profitability will increase with a settlement.

Short-run Pessimism, Long Run Optimism: Two major findings stand out in this study: (1) Pessimism is dominant on both sides if the present (divided) situation remains in force, suggesting lost business opportunities and growth for the tourism industry; and (2) higher profits and optimistic prospects in the event of an acceptable settlement to both sides, suggesting a Win-Win outcome.

However, a quick settlement does not appear to be the dominant view, indicating the need for a significant transition period for healing and reconciliation leading to future cooperation in the industry. Particularly in the South, there is widespread resentment over property previously owned by Greek Cypriots but currently used by Turkish Cypriots. Related to this fact, there is also a general reluctance to acknowledge the major investments that current users of properties in the north have undertaken to improve properties in order to enhance the final product on offer in the north. Extensive education and reconciliation is required to overcome the widespread hostility which is likely to bar future cooperative projects in tourism between Greek- and Turkish Cypriots businessmen.

More competition & Choice: In the event of an acceptable political settlement, there will be greater competition in the tourism industry on the island between existing stakeholders (airlines, hotels, restaurants and transport providers). There will also be greater choice available to tourists within easy access. As a result, two economic consequences are predictable: (1) convergence of prices and costs in All-island tourism, and (2) winners who will be able to provide tourists price- and quality-competitive services, and losers who will cease to exist because they will be unable to compete.

End of State Subsidies: Almost certainly the North and South will all be effectively EU territory subject to the same rules and conditions under the same *acquis communitaires*. If, or to the extent, that this would mean zero-public subsidies, the survival of tourist enterprises in the island will very much depend on one's ability to compete.

Settlement will Boost Business: A substantial majority of respondents in the North and South are optimistic about the impact of an acceptable settlement, expecting foreign demand to expand in that event. Interestingly in the South, Turkey is regarded as a potential new market⁸.

Recommendations

Admittedly this is a limited study. The empirical findings, however, are significant and support the following recommendations.

Promote Reconciliation: To achieve the Win-Win outcome in the longer-term which this study has highlighted empirically, it is necessary to promote reconciliation in the tourism industry on both sides by a carefully planned follow-up action that would bring progressive minded industry stakeholders together so they can undertake cooperative and joint tourism development projects. The first step in this direction might be a series of carefully organized seminars facilitated by academics and supported by international expertise.

Such seminars can play a vital springboard role for reconciliation overcoming sensitive issues (e.g. property previous owners and investment by current owners) and result in joint brochures, advertising and marketing plans. However, tangible results are required for active promotion of reconciliation in order cash in the longer-term Win-Win scenario underlined by the present findings. These tangible results include promotion of joint marketing, including politically correct brochures, publicity and business practices.

⁸ "The Day After" Report, op. cit., predicts an annual peace dividend of Euro 385 million from expanded Turkish tourism following settlement, pp. 46-47.

Phase Out “Enemy” Image: It is recommended that education and publicity campaign are launched by officials and industry bodies, as well as on a voluntary basis by tourism businesses themselves, to replace the current “enemy” image of the other side. In doing so, a policy of “Correct Tourism” would seek to achieve neutrality and thus would among other things, refrain from stopping foreign tourists from crossing the green line.

Ensure Freedom of Movement and Travel: All obstacles and impediments for All-island travel in tourism, including in transport, travel and advertising in North-South tourism. “Free Skies” is now an official EU policy designed to stimulate greater competition in airlines business.

Reduce Transaction Costs with Competition and Merit System: Especially in the North, there is excessive government control of the industry causing high transaction and operating costs. To reduce these costs, more privatization and self-government of the tourism sector (e.g. by creating a Tourism Board) is a pre-condition for a leaner, more competitive environment. In personnel policy, political appointments need to be replaced by professionalism and merit.

APPENDIX I: THE QUESTIONNAIRE

TOURISM STUDY QUESTIONNAIRE

PART A: ABOUT YOUR BUSINESS

1. What exactly is your business?

Tourist agency

Hotel (please indicate star category)

Tour operator

Other (please specify): _____

2. a) How many workers do you employ, in total? _____

b) How many have training/education in tourism/hotel management?

i) Degree holders (BA etc.) _____

ii) Other tertiary qualification _____

ii) Unskilled workers _____

c) Monthly gross pay, on average, per person:

i) Degree holders (BA etc.) _____

ii) Other tertiary qualification _____

ii) Unskilled workers _____

d) How many Greek Cypriots (GC), Turkish Cypriots TC or other workers do you employ now?

	GC	TC	Other
i) Degree holders (BA etc.)	_____	_____	_____
ii) Other tertiary qualification	_____	_____	_____
ii) Unskilled workers	_____	_____	_____

PART B: CURRENT BUSINESS CONDITIONS

3. In the last 12 months, did your gross revenue:

a) Rise by: 1-5% () 5-10% () 10-20% () 20-30% () More than 30% ()

OR

b) Fall by: 1-5% () 5-10% () 10-20% () 20-30% () More than 30% ()

4. What do you consider the biggest obstacle you face now? Select only three and mark as first, second and third:

	1 st	2 nd	3 rd
i) Lack of a settlement/divided country	_____	_____	_____
ii) Frequency and cost of flights to Cyprus	_____	_____	_____
iii) Lack of trained personnel/cost of personnel	_____	_____	_____

- iv) High cost of holidays in Cyprus — —
- v) Intense competition from the TCs/GCs — —
- vi) Not giving customers the right product — —
- vii) Other (specify) _____ — —

5 a. Are you currently engaged in any tourism activity involving both the North and South of the island? Yes ____ No ____

5 b. If yes, how?

- i) Arranging visits to the other side
- ii) Co-operating with tour guides or agencies on the other side
- iii) Other (please specify): _____

5 c. If no, why not?

- i) Not profitable
- ii) Not interested
- iii) Other (please specify): _____

PART C: IMPACT OF SETTLEMENT

6. Under the two scenarios, i) continue with the current situation OR ii) achieve a settlement acceptable to both sides, what do you think would be the impact on the tourism sector? Check one item under each option:

Scenario i)	Scenario ii)
1) Win-win for both sides*: ()	1) Win-win for both sides*: ()
2) Win for GCs and lose for TCs: ()	2) Win for GCs and lose for TCs: ()
3) Win for TCs and lose for GCs: ()	3) Win for TCs and lose for GCs: ()
4) Lose for TCs and lose for GCs: ()	4) Lose for TCs and lose for GCs: ()

7. If you think that in the event of a continuation of the current situation, you will win/lose()⁹, please indicate the level of annual increased()/decreased()^{*} turnover for your business that you anticipate in the short, medium and long term:

	2008-2009	2010-2011	2012-2013
Less than 10%			
11% - 20%			
21% - 30%			
More than 30%			

8. If you think that in the event of a settlement, you will win()/lose()^{*}, please indicate the level of increased()/decreased()^{*} turnover for your business that you anticipate in the short, medium and long term:

	2008-2009	2010-2011	2012-2013
Less than 10%			
11% - 20%			
21% - 30%			
More than 30%			

- 9 a. Do you think that, in the event of a continuation of the current situation, there is a possibility of joint tourism activities? Yes ____ No ____

- 9 b. If yes, please specify:

- i) Joint marketing
- ii) Participation in Tourism Fairs abroad
- iii) Other _____

- 9 c. If no, why not?

- i) Not interested
- ii) Not profitable
- iii) Other (please

specify): _____

10. In the event of a settlement acceptable to both sides, do you think that the cost structure of holidays in Cyprus will improve because of:

- 1. Additional airports Yes ____ No ____
- 2. Additional flights Yes ____ No ____
- 3. Increasing volume Yes ____ No ____
- 4. Joint marketing Yes ____ No ____
- 5. Availability of personnel Yes ____ No ____

⁹ Fill in as appropriate

6. Other (please specify) _____

11. In the event of a settlement acceptable to both sides, what do you think will happen to the number of tourists from:

	Up	Down
1. UK	_____	_____
2. Germany	_____	_____
3. Greece	_____	_____
4. Turkey	_____	_____
5. Scandinavia	_____	_____
6. Russia	_____	_____
7. Arab states	_____	_____
8. Israel	_____	_____
9. Other (please specify)	_____	_____

12 a. How optimistic are you about the possibility of a settlement acceptable to both sides in the next five years? (Insert from 0 to 4 where 0 means not at all, 4 means extremely optimistic.) _____

12 b. How optimistic are you about the possibility of a settlement acceptable to both sides in the next ten years? (Insert from 0 to 4 where 0 means not at all, 4 means extremely optimistic.) _____

APPENDIX II: METHODOLOGY AND SOURCES OF THE ECONOMETRIC MODEL

For the **dependent variable**, we collected the tourist arrivals in nominal total disaggregated value. Then, we divided them by the population of the origin country to convert the number of arrival figures into per capita form. This is done in order to eliminate multicollinearity problems, which may be caused by population and number of arrivals as explained above. After we obtained the per capita number of arrivals from origin countries' to destination countries', we took the logarithms in order to obtain the various elasticity measures.

Income data (INC) are generated from GDP per capita figures, and are collected from the World Bank- World Economic Indicators.

The **cost of living variable**¹⁰ (COL) was used as a proxy for the consumer price index since COL gives better explanations in econometric understandings. The CPI (2000=100) of the destination country was divided by the effective exchange rate (EXR) of the origin country. The result obtained was divided by the CPI of the origin country. Everything was processed in index format. Then, the logarithm was taken in order to obtain the elasticities from the regression.

Break down dummies were also included into the regression for countries of origin to measure the effects of the 1991 Gulf crisis. All will take value 1 for the indicated year and 0 otherwise.

We used **lagged dependent variables** ($A_{ij(t-1)}/P_{j(t-1)}$) to discover whether demand is supply constrained, and also to represent habit persistence (whereby people tend to return to a place they know). As word of mouth plays a very important role in choosing a holiday destination, one good (or bad) holiday experience at the destination can have considerable longer-term knock-on effects. Another reason for the inclusion of a lagged dependent variable in tourism demand functions comes from the supply side. Witt and

¹⁰ Cost of living variable will be mentioned COL here after. $COL=[(CPI_i/(EXR_i/EXR_j)/CPI_i)]$

Witt (1992) emphasized that supply constraints may take the form of shortages of hotel accommodation, passenger transportation capacity and trained staff, and these often cannot be increased rapidly. Time is also required to build up contacts among tour operators, hotels, airlines and travel agencies. Witt (1980) also pointed out that only a gradual decline in a country's popularity is at all likely, since investment in hotel accommodation will have already taken place and tour operators will have established contacts there. In addition, tour operators need time to adjust to changing patterns of inclusive holiday demand. Witt (1980) and Gujarati (1988) indicated that if a partial adjustment mechanism is postulated to allow for rigidities in supply, this results in the presence of a lagged dependent variable in the tourism demand model (Yorucu, 1998).

Morley (2000) pointed out the problem of spurious regression, which is the consequence of running regressions with non-stationary data. The stationarity is therefore necessary in order to avoid the unreliable and misleading parameter estimates.

Order of integration and unit root tests

Dickey-Fuller (DF) (1979, 1981) unit root tests or alternatively Augmented Dickey Fuller (ADF) tests with appropriate lag values are the general tests for stationarity. Hendry and Ericsson (1990) general to specific modelling is a common approach on stationarity tests. In this study we used unit root tests suggested by, Dickey and Fuller (1981) and Phillips and Perron (1988).

Cointegration analysis

Evidence of the same order of integration is required for the test of cointegration and Granger-causality. Cointegration analysis shows us the long-run equilibrium relationship between annual tourist arrivals to North Cyprus from Turkey, the UK, and Germany as well as the tourist arrivals to South Cyprus from Greece, the UK, and Germany and the factors that influence arrivals. In order to be able to estimate the long-run relationship between these variables, they must have common trends and must move together in the

long run. In other words, all variables must have been found non-stationary from the unit root tests. If there is a cointegration, then an error correction model (ECM) of tourist arrivals must be constructed and estimated by taking the first differences of the series and taking the first lag of the residuals from an auxiliary regression. An ECM will overcome the problem of spurious regression associated with traditional econometric modelling approaches to estimating tourism demand functions.

We used Johansen and Juselius (1990) maximum likelihood estimation technique to test the cointegration relationship. The results are illustrated in Table-4 below.

The cointegrating equations were used to estimate the long-run equilibrium relationships between tourist arrivals and factors that influence these arrivals such as income and cost of living. The Johansen and Juselius (1990) test statistics can be used to determine the number of statistically significant long-run relationship between tourist arrivals and the factors that influence the arrivals. We tested for the possibility of multiple long-run relationships using the Johansen (1991) test. Table-4 provides log-likelihood ratio statistics for determining the number (r) of long-run relationships between quarterly tourist arrivals, income, and cost of living. The number of the long-run relationships is determined sequentially starting with the null hypothesis $r=0$ which is no long-run relationship between quarterly tourist arrivals, income, and cost of living. To reject the null of $r=0$ (no long-run relationship) in favour of the alternative that $r=1$, the calculated value of the statistics should be greater than the 5% critical value. The results tabulated above indicates that the null of $r=0$ (no long-run relationship between tourist arrivals, income, and cost of living) can be rejected in favour of the alternative $r=1$. For example, Turkey has one statistically significant long-run relationship between tourist arrivals, income, and cost of living. Critical values were derived assuming no exogenous series. In short, for equation 1 to 3, Turkey (1981-2006), UK, Germany, (1986-2006) models have one statistically significant long-run relationship between tourist arrivals, income and cost of living. For equations 4 to 6, Greece, UK, and Germany (1983-2006) models also have one statistically significant long-run relationship between tourist arrivals, income and cost of living. In all cases the null of $r \leq 0$ can be rejected in favour of the alternative $r=1$; this

means that there is precisely one statistically significant long-run relationship between tourist arrivals, income, and cost of living. Whereas, the null of $r=0$, $r \leq 1$, $r \leq 2$, cannot be rejected to the alternative $r=1$, $r=2$, $r=3$, correspondingly (at 5% critical value).

The estimated parameters for Turkey, UK, Germany and Greece mostly have expected signs for income and for cost of living. All income coefficients exceed unity for equations 1 to 3 which means demand is income elastic, however, for equations 4 and 5 the coefficient signs are negative which is not expected. For equation 6 the coefficient sign is positive but demand is income inelastic (0.35) for Greece since it is lower than 1. Kulendran (1996) stated that more distant destinations generally have high-income elasticities.

Since we used cost of living as a proxy for consumer price index, the cost of living coefficients give us the price elasticities. The coefficient signs for price variables were found as expected for Turkey (eq 1), the UK (eq 2) and Germany (eq 6) only. The t-statistics for cost of living coefficients are found to be significant for Turkey and the rest but insignificant for Germany.

Short-run tourism demand dynamic modelling (Error Correction Mechanism)

Econometric theory simply emphasise that a group of non-stationary time series is cointegrated if there is a linear combination of them that is stationary; that is, the combination does not have a stochastic trend. The linear combination is called the cointegrating equation. Its normal interpretation is a long-run equilibrium relationship. If you have N endogenous variables, of which each is first-order integrated $I(1)$ series; that is, each has a unit root or stochastic trend or random-walk element), there can be from zero to $N-1$ linearly independent cointegrating vectors.

The series that we used for the Johansen cointegration tests were non-stationary series. For normal tests we used 2 lag variables and we found at least one cointegrated equation

at 5% significance level. The standard time series analysis such as VAR¹¹ applied first differences of the data. Because there are N separate integrated elements driving the series, levels of the series did not appear in the VAR. If there was one cointegrating equation, the VAR would need an error correction term involving levels of the series, and this term would appear on the right-hand side of each of the VAR equations, which otherwise would be in the first differences. Each additional cointegrating equation contributes another error correction term involving levels of the series on the right-hand side of each VAR equation. For all equations we implemented an error correction estimation with different lag levels.

We can see consistencies in the income variable, since it is income elastic (above unity) at one lag level. However, for Germany's case the error correction result is not consistent with the cointegration result. It is income inelastic (below unity), yet, it is not statistically significant. All equations have significant t-values at one lag level except Germany. Concerning the cost of living variable, the error correction estimation indicates less consistent results than cointegration for Turkey; which is price inelastic (0.001) at one lag level and found insignificant (0.04). For the UK the coefficient is (-0.127) which is price inelastic at one lag levels and for Germany it is (-0.102) which are price inelastic at one lag level. The error correction estimation gave us satisfactory t-values for all equations at 5% significance level. The coefficient signs for all variables in all equations were found to be the expected signs except for Turkey. Strong consistencies were found between the cointegration results and the error correction estimation for most of the variables.

In South Cyprus case, if we compare the error correction results with the cointegration results, for Greece, UK and Germany models, we can see inconsistencies in the income variable, since income inelastic (below unity) results are obtained for Greece and the UK at one lag level. However, for Germany's case the error correction result is found to be income inelastic (above unity) but statistically is not significant. The t-values at one lag level which shows the significance of the test shows that only the equation for UK indicates meaningful elasticity coefficient (0.448). Concerning the cost of living

¹¹ VAR stands for Vector Autoregressive Estimation.

variable, the error correction estimation indicates consistent results with cointegration and only for Germany statistically significant elasticity coefficient is obtained which is price elastic (1.087) at one lag level and found significant (-3.192).

The lagged dependent variable and dummy variables are included in the regressions if the preliminary empirical results suggested that this may be necessary. The lag dependent variable is expected to have a positive sign. The estimated coefficients of the lagged dependent variables for (i=1 to 3) Turkey, UK, Germany are 0.293, -0.064 and 0.344 respectively, which all lie below unity and indicate that a large part of the number of people choosing a particular holiday in a given year can be predicted on the basis of the number who chose it in the previous year. The estimated coefficients of the lagged dependent variables for (i=4 to 6) Greece, UK, Germany are 0.082, 2.954 and 0.800 respectively.

Witt and Witt (1992) also emphasised that the magnitude of the lags coefficient indicates that the best predictor of the number of people choosing a particular holiday in a given year is the number who chose it in the previous year. A problem with the presence of the lagged dependent variable is that it dominates the equation and hence it tends to “swallow up” various other effects. This is explained as a cause of revisit (risk aversion and habit persistence) and a cause of supply constrained demand.

Short-term dynamic relationships accounting for departures from equilibrium are also estimated by using an error correction model. The results for short run dynamics of tourism demand are given in Table-6. All the models have one error correction term. The coefficient of the error term U_{t-1} captures the adjustment toward the long-run equilibrium. The error term U_{t-1} is constructed from the long-run elasticities of income per capita and cost of living, which are found significant at the 5% significance level in all dynamic models. These results show that short-run changes in income per capita, and cost of living have significant positive effects on the number of tourist arrivals per capita and that about 0.71, 0.62, 0.684, 0.688, 3.253 and 1.362 of the discrepancies between the actual and the long run, or equilibrium, value of tourist per capita is eliminated or corrected each year correspondingly. The error terms have the expected negative signs. The satisfactory

diagnostic tests results are indicated in Table-6 for all the estimated short-run tourism models.

Appendix Table 1: Number of Tourist Arrivals in the South and North Cyprus (1971-2006)

	GERMAN ARRIVALS TO SOUTH CYPRUS	GREEK ARRIVALS TO SOUTH CYPRUS	UK ARRIVALS TO SOUTH CYPRUS	UK ARRIVALS TO NORTH CYPRUS WHO STAYED IN HOTELS ONLY	TURKISH ARRIVALS TO NORTH CYPRUS WHO STAYED IN HOTELS ONLY	GERMAN ARRIVALS TO NORTH CYPRUS WHO STAYED IN HOTELS ONLY
1971	10193.00	12327.00	78062.00	NA	NA	NA
1972	19488.00	12816.00	98136.00	NA	NA	NA
1973	26799.00	15017.00	116026.0	NA	NA	NA
1974	16812.00	9614.000	52938.00	NA	NA	NA
1975	1262.000	7506.000	17474.00	NA	51970.00	NA
1976	4854.000	15826.00	34501.00	NA	58240.00	NA
1977	8736.000	22376.00	55565.00	NA	54068.00	NA
1978	11635.00	25518.00	74593.00	NA	59629.00	NA
1979	20646.00	33649.00	106287.0	NA	62300.00	NA
1980	29101.00	33586.00	111359.0	NA	34310.00	NA
1981	31591.00	27850.00	129051.0	NA	28610.00	NA
1982	35954.00	34679.00	134767.0	NA	29034.00	NA
1983	36930.00	32220.00	168108.0	3824.000	35418.00	2322.000
1984	41094.00	36228.00	210156.0	4234.000	33561.00	2575.000
1985	56146.00	42892.00	238295.0	5687.000	25790.00	2792.000
1986	54405.00	37890.00	287000.0	5336.000	23550.00	5347.000
1987	77188.00	47668.00	309150.0	8798.000	47612.00	10930.00
1988	106137.0	55714.00	405355.0	9149.000	54090.00	11490.00
1989	108705.0	59025.00	549552.0	12221.00	48282.00	10785.00
1990	99672.00	70578.00	691532.0	12768.00	47975.00	10141.00
1991	66216.00	60118.00	678148.0	9077.000	40517.00	7552.000
1992	102260.0	65200.00	1087500.	14074.00	64175.00	10306.00
1993	120000.0	55000.00	950000.0	19320.00	79473.00	14233.00
1994	173000.0	58000.00	970000.0	23784.00	72688.00	23581.00
1995	235000.0	65000.00	850000.0	24268.00	86754.00	22841.00
1996	240000.0	75000.00	720000.0	26091.00	70591.00	17576.00
1997	250053.0	67749.00	846309.0	27035.00	109979.0	17784.00
1998	208356.0	70768.00	1015234.	29291.00	121333.0	15962.00
1999	238763.0	83134.00	1155623.	35968.00	145036.0	15874.00
2000	233687.0	100105.0	1362913.	42216.00	168606.0	10002.00
2001	214153.0	89763.00	1486703.	47277.00	143697.0	6035.000
2002	173718.0	93225.00	1337646.	66868.00	177388.0	6877.000
2003	129034.0	110226.0	1347043.	67897.00	165872.0	6281.000
2004	161574.0	133407.0	1332852.	94280.00	162790.0	5687.000
2005	182689.0	130156.0	1391849.	98092.00	171518.0	10204.00
2006	152808.0	126768.0	1360136.	74472.00	225052.0	8246.000

Appendix Table -2 Augmented Dickey-Fuller unit root tests for stationary with Schwarz Info Criterion lag selection procedures (maximum 2 lags included)

Variables	Level	First-Difference	Critical values at 5% level	Conclusion
A1	-0.686	-5.356	-2.963	I(1)
A2	-1.205	-5.503	-3.004	I(1)
A3	-2.686	-3.307	-3.004	I(1)
A4	-1.124	-5.382	-2.954	I(1)
A5	-0.790	-4.615	-2.951	I(1)
A6	-1.617	-6.164	-2.951	I(1)
INC1	-0.070	-6.597	-2.943	I(1)
INC2	-0.165	-5.616	-2.929	I(1)
INC3	-1.679	-4.314	-2.951	I(1)
INC4	-2.244	-4.630	-2.928	I(1)
COL1	-0.390	-7.244	-2.976	I(1)
COL2	-2.225	-7.437	-2.976	I(1)
COL3	-2.241	-7.398	-2.976	I(1)
COL4	-4.380	-	-2.981	I(0)
COL5	-1.539	-4.392	-2.986	I(1)
COL6	-2.166	-4.940	-2.986	I(1)

McKinnon critical values for 5% significance level is with intercept only.

**Appendix Table-3: Phillips Perron unit root tests
(Newey-West Bandwith Automatic selection procedures with intercept)**

Variables	Level	First-Difference	Critical values at 5% level	Conclusion
A1	-0.621	-5.360	-2.963	I(1)
A2	-1.432	-6.121	-3.004	I(1)
A3	-2.312	-3.324	-3.004	I(1)
A4	-0.961	-6.733	-2.951	I(1)
A5	-0.726	-4.487	-2.951	I(1)
A6	-1.430	-6.528	-2.951	I(1)
INC1	-0.023	-6.595	-2.943	I(1)
INC2	-0.261	-4.976	-2.928	I(1)
INC3	-2.093	-4.167	-2.951	I(1)
INC4	-2.986	-	-2.926	I(0)
COL1	-0.618	-7.244	-2.976	I(1)
COL2	-2.083	-7.502	-2.976	I(1)
COL3	-2.241	-7.398	-2.976	I(1)
COL4	-4.380	-	-2.981	I(0)
COL5	-1.684	-4.403	-2.986	I(1)
COL6	-2.275	-4.940	-2.986	I(1)

McKinnon critical values for 5% significance level is with intercept only.

Appendix Table-4 Johansen Maximum Likelihood (ML) procedure: cointegration likelihood ratio (LR) test to determine the number of cointegrating vectors (r), based on maximal eigenvalues of the stochastic matrix

Cointegrating equation	Null Hypo.	Alternative Hypo.	Eigenvalue	LR - test statistic	Critical Values 5%	Hypothesized No. of CE(s)
1. Turkey – N. Cyprus (1981-2006)	r=0 r≤1 r≤2	r=1 r=2 r=3	0.564 0.274 0.094	32.555 10.945 2.586	29.79 15.49 3.84	None** At most 1 At most 2
2. UK – N. Cyprus (1986-2006)	r=0 r≤1 r≤2	r=1 r=2 r=3	0.630 0.240 0.001	26.718 5.821 0.041	24.275 12.320 4.129	None* At most 1 At most 2
3. Germany – N. Cyprus (1986-2006)	r=0 r≤1 r≤2	r=1 r=2 r=3	0.655 0.476 0.001	35.990 13.624 0.016	29.797 15.494 3.841	None* At most 1 At most 2
4. Greece – S. Cyprus (1983-2006)	r=0 r≤1 r≤2	r=1 r=2 r=3	0.636 0.360 0.057	36.437 12.126 1.415	29.797 15.494 3.841	None* At most 1 At most 2
5. UK – S. Cyprus (1983-2006)	r=0 r≤1 r≤2	r=1 r=2 r=3	0.585 0.338 0.270	38.602 17.489 7.577	35.192 20.261 9.164	None* At most 1 At most 2
6. Germany – N. Cyprus (1983-2006)	r=0 r≤1 r≤2	r=1 r=2 r=3	0.455 0.272 0.143	25.980 11.371 3.721	24.275 12.320 4.129	None* At most 1 At most 2

*(**) denotes rejection of the hypothesis at 5% (1%) significance level.

LR test indicates 1 cointegrating equation(s) at 5% significance level for all equations.

In a multivariate context, maximum number of cointegrating vectors can be $r=N-1$ where N represents the number of variables in cointegrating regression. For the critical values reported by EVIEWS 5.1 version, see Osterwald-Lenum (1992). Both the λ max and Trace statistics have been used for testing the number of co-integrating vectors.

Appendix Table-5 Estimated long-run relationship for North Cyprus and South Cyprus tourism demand

**Normalised Cointegrating Coefficients:1 cointegrating equation (cointegrating vector) is:
(Figures in parenthesis are the t-statistics)**

		IN	CL	C
1. (Turkey-N.Cyprus) (1981-2006)	1.000	1.08 (1.47)	-0.094 (-3.34)	-15.29
2. (UK-N.Cyprus) (1986-2006)	1.000	14.96 (3.92)	-63.75 (1.46)	--
3. (Germany-N.Cyprus) (1986-2006)	1.000	13.27 (6.03)	1.78 (5.49)	-140.28
4. (Greece-S.Cyprus) (1983-2006)	1.000	-10.19 (0.83)	17.34 (4.95)	81.86
5. (UK-S.Cyprus) (1983-2006)	1.000	-4.64 (-1.84)	8.20 (1.89)	43.03
6. (Germany-N.Cyprus) (1983-2006)	1.000	0.35 (0.09)	-0.09 (0.02)	-10.06

Appendix Table- 6 Diagnostic tests for estimated short-run tourism demand dynamic models.

	North Cyprus			South Cyprus		
	1. Turkey 1980-2006	2. UK 1986-2006	3. Germany 1987-2006	4. Greece 1982-2006	5. UK 1984-2006	6. Germany 1984-2006
Adjusted R ²	0.25	0.62	0.22	0.32	0.49	0.51
F - statistics	2.72	7.47	1.90	3.87	4.46	4.89
DW autocorrelation	1.59	1.72	2.02	1.92	1.88	1.82
Jarque-Bera Normality	1.24	1.41	0.98	0.24	0.56	0.78
Breusch-Godfrey-LM	0.00	0.00	0.12	0.00	0.63	0.07
ARCH Test	2.18	0.02	0.95	0.51	0.30	0.46
White Heterosce.	1.49	1.62	1.01	2.69	0.81	0.74
Ramsey RESET	0.16	0.24	3.25	0.24	0.69	0.16

Durbin Watson (DW) statistics are to test for first order serial correlation in the error term. Jarque and Bera test is for the normality of residuals. Lagrange Multiplier (LM) statistics are to test the null of no first order serial correlation in the error term. Engle's Autoregressive Conditional Heteroscedasticity (ARCH) test of residuals. White is the test for heteroscedasticity and Ramsey Reset test is the general test for misspecification of the model.

The VEC¹² model is a restricted VAR, designed for use with non-stationary series that are known to be cointegrated. The VEC specification restricts the long run behaviour of the endogenous variables to converge to their cointegrating relationship(s) while allowing a wide range of short run dynamics. The estimation of a VEC model proceeds by first determining one or more cointegrating equations, using the Johansen procedure. Then the first difference of each endogenous variable is then regressed on a one period lag of the cointegrating equation(s) and lagged first differences of all endogenous variables in the system.

AIC or Schwarz are methods used for best model selection through eliminating number of lag values. For the VEC method, we provided some information as for a VAR, except that exogenous variables, other than an intercept or trend are not allowed in VEC models. So, the same assumptions provided in the Johansen procedure, are applicable to any VAR model.

Charemza and Deadman (1997) emphasised that testing and analysing cointegration in a VAR model is often regarded as superior to the Engle and Granger (1987) single equation method. The statistical properties of the Johansen procedure are generally better and the power of the cointegrating test is higher. However, it should be stressed that the Engle-Granger and Johansen procedures are grounded within different econometric methodologies. Most notably, in the Engle-Granger modelling approach, the endogenous division of variables is assumed (and therefore there might be only one cointegrating relation) while in the Johansen approach, based on VAR modelling, there are no exogenous variables.

A VEC model is applied on all countries and the error correction term was measured. It measures how far things are from the long-run equilibrium path. The error correction model reported in Table-XXIV considered a dynamic approach to tourism demand modelling (remember that long-run relationship between number of arrivals, income and cost of living provides a static approach to tourism demand modelling). In each case, up

¹² VEC stands for Vector Error Correction Estimation.

to two lags of the arrivals, income and cost of living are considered and only significant lags are reported for final estimation with the least significant terms omitted first.

APPENDIX III: KEY INFORMANT INTERVIEWS

This Appendix contains intensive interviews with ten key informants on the current state and future prospects of the Tourism industry in North Cyprus. These were one-on-one interviews and the information was collected with the full knowledge that it constituted part of this Study. Each interview was conducted on the same format, consisting of two scenarios, (1) the settlement, and (2) the existing (divided) scenario. Below are opinions of the interviewees.

KEY INFORMANT INTERVIEWS IN THE NORTH

Mr ERDIL NAMI, President of Cyprus Turkish Chamber of Commerce

Interview with Mr Erdil Nami, highlighted some of the facts for the benefit of both sides living in North and South of the island. Mr Nami said that solution for Cyprus problem will create positive gains for both sides. He said his association's slogan is "Tourism for Peace and Peace for Tourism". He believes that there is a two-way causality between peace and tourism. He does not feel any fear from the solution in terms of increased competition between Greek and Turkish Cypriot businesses at all.

He emphasized that isolations on Turkish Cypriots for the last 33 years have brought some disadvantages over trade and Turkish Cypriots will need some short transition period before economic convergence is fully achieved after reaching a peace solution. North has been suffering from infrastructural bottlenecks he said, and proposed to increase the number of 5-stars hotels up to twenty which corresponds approximately twenty thousand bed spaces. According to his estimations at least one million tourist will come to visit only the North and four million to the South after reaching solution. It will be a kind of win-win to have joint tourism marketing. Mr Nami also emphasized that electricity, water and some other public utilities which are getting scarce in Cyprus needed to be well planned in terms of future uncertainties. He suggested that some financial arrangements and other connections have to be made before being ready for more serious tourism activities. Similar approach was made by the Greek Cypriot

Famagusta Chamber of Commerce Mr Marros Mavromatis, about the win-win situation for both Communities.

The City of Varosha will be reopened but the original owners have to rebuild many of the hotels. It is more costly to repair or renovate than to rebuild he said. Mr Nami pointed out that solution will also have much greater impact on employment. There will be more demand for skillful labor on both sides. The vocational training will help to overcome such problems in employment. Turkey will be the saver by supplying skilled and cheap labor as well as tourism investors. Overall employment will be benefited from the abundant Turkish labor.

Mr Nami also indicated that standards are almost the same in both sides but hospitality and managerial skills are better in the North. Even Antalya and North Cyprus are competing with each other now although the size is not the same. He believes that the standards in North Cyprus are better since Turkish investments are brand new. He revealed that the infrastructure in the North will make the main difference. Artemis, Mercury, Limak and some other hotels with new tourism concept which are on the pipeline in Bafra zone will create an enormous competition among the South Cyprus and Antalya. Mr Nami revealed the necessity of continuous cooperation in order to reach peace and to enhance the business relationship under the current situation. The Chamber's mission is to increase the volume of overall trade over the Green Line Regulation which also helps to improve the tourism activities in both sides. He continued and said, there is no permission by the Greek Cypriot Administration to let Turkish Cypriot busses, taxis and trucks to cross the Green Line since the Turkish Cypriot authorities are allowing all the Greek vehicles to cross the border without creating any obstacles. The Administration in the South he said does not accept any driver licenses issued the North. Mr Nami recommended that even if there is no solution in the near future, Turkish Cypriots should continue to build hotels and increase the capacity. At the present time, long delays and stop-overs in Turkey, as a result of indirect flights to North Cyprus, are also discouraging tourists to choose North Cyprus. As a solution, he

suggested more charter and shuttle services since there are no limitations by the Chicago Convention on shuttle and chartered services.

Mr Zihni Turksel, President of Restaurateurs Association

Mr Zihni Turksel supports the idea of one United Cyprus and he endorsed the idea of a comprehensive solution as soon as possible since it will have win-win effect for both communities. He is, however, rather pessimistic and he does not have any hope left for the unification especially after referendum of Annan Plan.

Mr Turksel emphasized that unification will help to improve the overall tourism. He does not have any fear about possible loss from unification and he does not have any suspicion for employment in the future. He stressed that the wages will not increase so there won't be any effect on prices. Average wages in the Restaurant sector is US \$400 in the South and US \$1,000 in the North. In the North, there is not enough skilled labor, in the South skill levels is higher. Mr Turksel believes that, in the event of a settlement, Cypriot labor will be the first choice regardless being Turkish or Greek. He emphasized that the intimacy of two communities are getting less and less day by day and therefore he is getting more pessimistic for the future unification. Mr Turksel reminded that during the Annan Plan period 90 percent of their customers were Greek Cypriots as well as the tourists from the South but it is less than 10 per cent now. There is not any difference in food culture between the two communities. The only difference which will make the North more competitive is the quality and the standards of Turkish restaurants. They are more luxurious in terms of building and physical equipments. Mezes in the North are slightly richer than in the South.

Mr Zihni Turksel stated that there is an urgent need for the discipline of the sector. The Draft law of Turkish Cypriot Tourism Organization must be legalized simultaneously in order to achieve unity for the tourism sector which is referred the locomotive for the North Cyprus economy. The Turkish Restaurateurs Association is not happy from the current situation of the tourism since there is not any significant improvement comparing

to the past. Mr Zihni Turksel explained several reasons of not being successful. Among all, the most important ones are; insufficient marketing in abroad, not enough flights, being expensive because of indirect flights, high cost of living, high tax rates and higher costs, procedures implemented by the Ministry of Health, bureaucracy created by the Ministry of Social Work, and strange decisions about the import of potatoes and occupation fees by the Mayor of Nicosia.

The new slogan by Turkish Restaurateurs Association is to promote of being an Island and food, music and entertainment have to be in front. This Association recommends closing all the Casinos in Cyprus since, they all damage restaurants' operations while providing free of charge food and beverages to the gamblers and to the visitors. Lastly, Turkish Restaurateurs Association supports the idea of having more National Vocational Qualifications and School of Tourism and Hospitality management in North Cyprus. They believe that the support of current universities in the North is minimal.

Mr Turhan Beydagli, President of Cyprus Turkish Hoteliers Association

Mr Turhan Beydagli strongly emphasized that the Turkish Hoteliers Association is fully supporting a political settlement without any fear. He added that there will be a unique product to sell which will transform disadvantages into advantages for both sides. It will be a win-win situation for all Cyprus.

At the moment, there are some deficiencies and negative factors in all-Cyprus tourism, including negative image, not being able to see the whole island and environmental pollution. After opening Green Line, tourists from the South started to come and visit such historic places as St Barnabas Icon Museum which helped tourism a lot during the last four years. The Turkish Hoteliers Association believes that there should be a transition period for the Turkish Cypriots as part of reunification settlement. This is needed to arrange the tax differences, employment life and the infrastructure. The most important issues which the Turkish Hoteliers Association highlighted are the perceptions of North's poverty compared to a prosperous South, and the unsolved property issues. On

the other hand, settlement would stimulate joint ventures. In general, these will be no harm and the tourism sector will definitely experience a win-win situation. Mr Beydagli pointed out that there is not any significant comparative advantage to each other neither in quality nor in standards at the hotel industry.

The Turkish Hoteliers Association is ready for joint marketing operations to promote and advertise “CYPRUS”. They believe that history, culture, tradition and hospitality of Cypriots’ should be the main product. The city of Varosha has to be demolished and rebuild according to a new tourism concept. It is however useful to take lessons from the mistakes of Ayia Napa and Larnaca, and protect the environment. In employment the Turkish Hoteliers Association support plans to invest on human capital since the sector are in difficult position to find skillful personnel for the hotel sector. They are relying on qualified personnel either from Turkey or from the Far East. Both sides have being suffering from the same problem since 1974, and the universities do not supply enough human resources to the market.

The Turkish Hoteliers Association has been trying to construct any kind of relationships between the Cyprus Hotel Association in the South and the Cyprus Tourism Organization but every effort was turned down by the Greek Cypriot administration since the Turkish Hoteliers Association is not accepted as a legitimate civil society in Cyprus, said Turhan Beydagli.

Mr Ozbek O. Dedekorkut, President of Cyprus Turkish Tourism and Travel Agents Association

Mr Ozbek Dedekorkut stated that their association supports the idea of a United Cyprus with an agreed settlement without any fear. He revealed that there will be a unique product to sell which will bring the disadvantages into advantages for both sides and will be a win-win situation for the whole country. He argued that in the short-run Turkish Cypriots Tourism and Travel Agents will win and the Greek Cypriots Tourism and Travel

Agents may lose for a while because the North has not been discovered as much as the South especially by the Europeans.

Until now, officially there is no relationship between the two associations in the North and South, however, the individual contacts have been going on, he said. Mr Dedekorkut specified that Cyprus Turkish Tourism and Travel Agents Association have been participating to the UFTA meeting several times and had a chance to discuss in more detail why the two associations can not be represented together; nevertheless, individual partnership has already started among the agents after opening the Green Line with Green Line Regulations. The economic cooperation and partnership are not at the satisfactory level since the big and financially strong Greek partners would like to treat the small and weak Turkish partners like subordinates, offering inadequate commissions when they transfer tourists from the South to the North.

Mr Dedekorkut rejected these Greek Cypriot offers and managed to work with his Greek partner in England. He brought in a small group of 38 tourists via Larnaca airport directly during 2006. The tourists stayed in Trodos and Limassol for one week and the other week in Salamis Hotel at Famagusta. Another tour was also jointly arranged directly to Ercan airport and stayed 4 days in Famagusta Bogaz and 10 days in Limassol during 2005. Every effort for cooperation by the Cyprus Turkish Tourism and Travel Agents Association was turned down by the Greek Administration since the politics are still ahead of economics in both sides. Mr Dedekorkut insisted that, there are many historical places in Cyprus and the distances are very short in the North in comparison to the South. This will bring the Greek agents more advantages in trade since North has more comparative advantages in natural beauties, archeological richness, and silence. Vorosha in today's tourism concept is outdated, he said. The concept of 2007 is to have bigger hotel complexes with more green areas, in which the city of Varosha does not fit in at all.

Mr Dedekorkut revealed that the image of the United Cyprus tourism should be "Culture and History". Special interest tourism should be promoted to keep the Island's tourism more sustainable. The Island's tourism must be far from casinos, sex, entertainment and

drugs. Cyprus Turkish Tourism and Travel Agents Association's opinion is that Bafra Tourism resort will damage the North's virginity image with mass tourist market. There is an urgent need to establish Cyprus Tourism Organization. Economy must be one step ahead of politics. Tourism should also be ahead of politics. On both sides, the politicians are still using pressures to prevent industry representatives of two sides coming close to each other. They are bombarding hostility explanations on televisions to keep the two sides separate from each other.

Mr Hasan Karlitas, Vice President of Cyprus Tourist Guide Association

Mr Hasan Karlitas and his association fully supported a comprehensive settlement and living in one Cyprus together. However, the association is concerned that South has enormous capacity in bed spaces, very strong Tourism Authority and other supportive associations in tourism industry. Tourist Guide Association thinks that North is not ready for an immediate cooperation with south since they need a short transition period to adopt and be ready for competition. At the moment Greek Cypriots are winning and Turkish Cypriots are losing but in the long-run both will win-win, he said.

As Vice President of Cyprus Tourist Guide Association, he thinks that tourism in Cyprus has three legs; such as, accommodation, transportation and professional services. South is welcoming 2.8 million tourists with 300 tourist guides in a year, he said. However, in the North there are more than 1100 tourist guides with licenses but only 40 of them are working as full time and around 60 of them as part time during the peak seasons. This is because of the low wages and not having any constant tourist flows to the North. He continued and stressed the importance of transportation, marketing and promotion which constraint their professions' improvement. They can not earn any professionalism of serving as a guide which is a profession to build career.

Mr Halim Kahveciler, Vice President of Cyprus Turkish Rent-a-Car Association

Mr Halim Kahveciler and his association supports a comprehensive settlement in Cyprus, however, as an association they have fears of the relatively small size of the car rental sector. The number of available rental cars in the North are limited, there is low capital investment, no franchise agreements with multinationals, financial difficulties in borrowing, high interest rates, exchange rate volatility, low occupancy rates and cost factors. By comparison, Mr Kahveciler emphasized that South is more advantages over the North and therefore Cyprus Turkish Rent-a-Car Association proposes to have 5 years transition period until to achieve full convergence. Competition between two sides will be very though he said, and North has to operate with lower profit margins and higher quality services in order to be competitive in the trade battle.

Mr Kahveciler believes that the North have comparative advantages about infrastructural matters since in the South they have closed foreign exchange windows. The South's banking facilities are not as efficient as the North's and the members of the Cyprus Turkish Rent-a-Car Association accept payments over the mail order form or cash during the delivery of cars. Because North's banking system does not have SWIFT facilities, the member of Cyprus Turkish Rent-a-Car Association has to use TR code which is over Turkey and pay extra commission to the Turkish Banks for the down payments or money transfers from the customer account to the company's account. Road infrastructure and legal infrastructure are better in the South comparing to the North.

Opening Varosha in tourism will definitely help all of the rent-a-car companies since Varosha as a new destination is a new potential customer to increase the economic volume. Even though there are many complaints against Ayia Napa, Varosha will be the second alternative in entertainment resort against Ayia Napa and Larnaca. Cyprus Turkish Rent-a-Car Association will be very happy to see more tourists in Famagusta and let more cars, he said.

Mr Ahmet Akpınar, Director of Cyprus Turkish Airlines (CTA)

Mr Ahmet Akpınar emphasized that his company as the national airlines of the Turkish Cypriots has the mission to support peace in Cyprus without any fear. He added that there will be a unique product to sell which will bring many advantages to both sides and result a win-win situation for all Cyprus. CTA has already completed the necessary infrastructure and ready to compete in an airline industry. He mentioned that CTA have connections to many places and flying anywhere they wanted since they are a registered company in Turkey. As Director of CTA, he does not think that Cyprus Airways will be a threat for CTA in case of final settlement. In the free market economy system, competition is the main focal point and therefore CTA has all confidence and customer portfolio to run its operations with necessary capabilities.

He stated that CTA is ready for cooperation with tour operators and other airlines if they see a potential for business and profit. He believes that economic interest are superior to the political interests, therefore CTA is ready to consider agreements with Cyprus Airways to carry more air passengers to Cyprus. Mr Akpınar pointed out that marketing policy of national airlines depend on targets and new destinations. They have vision to increase and sustain customer satisfaction, to increase their number of flights, and to start new flights connection from Germany, Northern Europe and Israel. He clearly highlighted that this connections can be done together with other partners in the South and CTA have full confidence to do so.

He specified that the city of Varosha will be a virgin place with a very good potential with its new tourism concept. He suggests demolishing all of the buildings and constructing new big hotels like in Las Vegas. Varosha could be an autonomous resort, he said. When he looked at the pictures of Varosha taken before 1974, he was very much influenced. In the air transportation employment is not easy. You need skilled personnel and therefore education and workshop are necessary for the employment process. There are certain rules and regulations which CTA have to follow required by the Joint Aviation Authority and Joint Aviation Regulation Standards. International Civil Aviation

Organization monitors not only CTA but also the other airlines regularly and therefore they have to follow the certain quality standards.

EU, USAID, UNDP and UNOPS have not provided any funds to their company since they are partly independent than the states. It will be useful to have some funds to be used for human capital investments. CTA image is to have a “Smiling Face” and they have a vision to provide unconditional customer satisfactions. He indicated that CTA also have mottos, such as; “Always Smile”, “We can & will”, “First or Not at all”, “Not self but our nation”, “Mission first people always”, “Eyes of the KTHY”, “Where we head other will follow” and “Going for Distance going for speed”.

The target of CTA is to increase the customer portfolio and therefore concentrated on sustainability and open competitions. They also have CTA Holiday tour operator registered in London and have operations to sell tourist to Cyprus as well to other destinations. Handling, catering and technical maintenance are under the responsibility of CTA and supply all of the services without any problem. As a company they have e-ticketing facility and aiming to improve their IT technology to speed up their services, like electronic check in etc.

Mr Akpinar commented on Ercan Airport as well and said Ercan is physically sufficient for North’s tourism, however it needs some modernizations, such as, connection tubes to the planes, passport control divisions, baggage reclaims, terminals, monitors and information services, which will help to increase the operations of the airport. CTA also willing to start shuttle services for the gamblers from Turkey with turbo-prop flights which have 50-100 seat capacities. Mr Akpinar pointed out that there is no need to establish a kind of association to create unity in the airlines industry but it will be beneficial if CTA is placed as an executive member in Cyprus Tourism Organization. They have some problems with the laws of TRNC especially tax laws for airports and suggesting government to amend them according to technological advance. They have difficulties to implement e-ticketing because there is no unique tax regime so they have to

ask different tax rates for retired, soldiers, press, students, adults etc., which make the system more complicated.

Mr Zeki Ziya, Director of Pegasus Airlines in Cyprus

Mr Zeki Ziya pointed out that his company is a private airline company and supports peace in Cyprus without feeling any fear. He believes that the Greek Cypriots are not ready to share power and the market with Turkish Cypriots. Pegasus feels very confident and strong with its capital, which is ready for competition with their counterparts. As a company, he said that with their number of flights and perfect capital structure be very competitive in the market which is frightening Greek Cypriots not to do any partnership with the Turks. He added that there will be a unique product to sell which will bring many advantages to both sides and result will be a win-loose in favor of Turkish Cypriots. It is however not known whether Greek Cypriots will allow Turkish Cypriots' companies to fly to Cyprus. At the present time companies like Pegasus are registered in Turkey since North Cyprus has not been recognized except by Turkey. There must be a special agreement with Greeks to allow freedom to existing Turkish companies which are operating to the North, like Pegasus, Atlas, THY and KTHY. Once legal problems are solved, Pegasus does not have any fear to operate and compete with their counterparts, he said.

Mr Ziya underlined that Pegasus will have a cost advantage because it has low cost labor and service purchase cost is lower than the other airlines with strong marketing abilities. Currently Pegasus has 11 flights in total but ordered 11 extra brand new Boeing jets which will receive them within 2 years. They already arranged down payments and expecting to reach total of 30 planes by end of 2009. The final target for the next five years is to reach 60 planes, he said. Pegasus would also like to form new airline companies abroad. He also highlighted the necessity of some transition period during the solution for the competition conditions.

Pegasus Airlines in Cyprus stressed the infrastructure problems of Ercan and recommended to expand Ercan airport and open Gecitkale airport for daily use. Mr Ziya highlighted that there is 27-28% average growth rate of air transportation in North Cyprus. However this is only 3-6% in the world and 9-12% in Turkey. The monopoly of domestic flights in Turkey is abolished and therefore Pegasus increased the target from 1.5 million passengers to 2 million passengers. Pegasus is a low-cost carrier similar to Ryan air and Easy Jet.

Pegasus does not have any employment problem and they have maximum quality standards as required by Civil Aviation Authority. He also believes that Casinos are the biggest advantages of North's tourism. In case of solution, North should be like Las Vegas and not share it with the South. He thinks that there is no product image for Cyprus. Turkish Cypriots used "Kyrenia Castle" and Greek Cypriots "Muflons" as an image; however, in both sides this image is obsolete. Pegasus's own image is always mythological flying horse. Mr Ziya thought that up until now tourism was put forward as a locomotive sector but is not treated like locomotive. Tourism is always ruled by the small coalition partner of the government. Not enough interest has been shown by government to support tourism, he said. Government does not have any vision on product, image, target market and marketing strategies. Mr Ziya suggests that an autonomous Turkish Tourism Organization should be established and members should be appointed not by the government officials but by the people out of the sector and inside of the sector itself. Pegasus does not think that government bureaucrats will contribute to tourism industry via Cyprus Tourism Organization because there is no sustainability of their duties since they are all changing with the new governments. The Minister of Tourism always invite Pegasus to the meetings but only listen what we say and do not implement our suggestions in his decisions.

Mr Osman Malyali, Director of Atlasjet Airlines in Cyprus

Mr Osman Malyali stated that his company supports peace in Cyprus and does not have any fear at all. He believes that Atlas airlines will be the second biggest airline in Cyprus, and hopes it will be called the second national airlines in the North. He feels very confident and is ready for competition with their counterparts. Atlas airlines carried 300,000 tourists to North Cyprus last year in collaboration with ETS tour which is a subsidiary. He added that with Atlas and ETS partnership, they invested in a brand new hotel in Kyrenia with 1,500 bed spaces at Lara beach which will be opened by the end of 2009.

Mr Malyali underlined that Atlas is an IATA member and have allied agreements with 55 airlines from all over the world. He also highlighted that Atlas with perfect quality and strong capital structure will be very competitive in the airlines market which is superior to the Greek Cypriot rivals. He added that there will be a unique product to sell which will bring many advantages to both sides and result will be a win-win to all Cypriots. Atlas does not have any fear to operate and compete with their counterparts, he said.

The North should renovate Ercan airport because in case of tourism boom Ercan will not be sufficient to supply services, especially after solution. In a future United Cyprus he said, in the short-run Atlas will start to have connections to different destinations and sign agreements with big tour operators like First choice, Thomas Cook etc. In the long-run, Atlas is ready for joint ventures, cooperation and even mergers which may result higher profits.

Mr Malyali underlined the necessity of autonomous Cyprus Turkish Tourism Organization instead of having separate associations for the airlines. He added that in the executive body of this Organization, hoteliers, travel agencies, airlines and the Ministry should be represented at higher level, whereas, tourist guides and restaurateurs should be represented at the lower level.

Mr Bayram Karaman, President of Cyprus Turkish Tourism Labor Union

Mr Bayram Karaman and his union support a comprehensive settlement in Cyprus which will be based on the UN peace plan. He does not feel any fear from a settlement and expects that peace will not only bring benefits to Cyprus but will also bring a lot of benefits to the whole Mediterranean region. Mr Karaman thinks that both in the short-run and in the long-run it will be a win-win situation for both sides.

According to the Cyprus Turkish Tourism Labor Union, joint ventures between two sides will take place if there are mutual economic gains. Even in the North many hotels have changed ownerships from the Turkish Cypriots to the Turkish investors. As the new owners start operating, there may be some loss of employment opportunity. There are some laws to protect the rights of labor, however, government is not showing enough interest to protect the social rights of the employees. In Salamis Bay Hotel there were 131 employees before changing the ownership to Istanbul Airlines. As soon as Istanbul Airlines took over, the social rights of employees were taken away and in time they were laid off. At the moment majority of people working in Salamis are Turkish mainlanders. Similar case took place in the South and Greek employees are replaced with the Polish employees. South is relatively better than the North in terms of respecting social rights. Labor value added in tourism industry is not respected in Cyprus; however, in Europe the *acqui-communitaire* does not allow this.

Instead of carrying mass volume of tourists to the island, Cyprus Turkish Tourism Labor Union suggests focusing on special interest tourism in order to attract tourist profile that will help to consume local goods and services to maximize jobs to the Cypriot workers. He believes Varosha is the part of comprehensive settlement in Cyprus. Keeping Varosha closed did not help any sides and no one has benefits out of it for the last 33 years. It should be reconstructed with new master plan and can be controlled by the UN. Cyprus Turkish Tourism Labor Union does not see any hope for peace in the near future since Greek Cypriots are not ready to live in a united Cyprus with respect to equal power sharing.

KEY INFORMANT INTERVIEWS IN THE SOUTH

Mr. Phanos Leventis, Secretary General of the Association of Restaurant and Entertainment Establishments Owners.

As expected, the opening of the Green Line resulted in a major blow for the restaurants and entertainment establishment industry because Greek Cypriots traveled to the occupied areas for eating and entertainment. The blow was particularly strong for Nicosia due to its vicinity to the occupied areas. However, there were other towns and areas that suffered losses due to Greek Cypriots traveling to the north. Turkish Cypriots visitors in the south did not offset this. Thus, restaurant owners saw themselves facing an important challenge in the form of unfair competition, as prices in the occupied areas were initially much lower than prices in the south, and while the level of services supplied in the north was still lower, Greek Cypriot customers appeared prepared during their visits in restaurants in the occupied areas to accept a “rebate” on their expectations. Despite the fact that meanwhile that the price difference has been eliminated, the non-solution entails risks due to the uncontrolled development process currently witnessed in the occupied areas, which attracts Turkish business people with large capital funds, putting the viability of our Turkish Cypriot colleagues at risk.

In addition, there is a major issue of unfair competition from the casinos in the occupied areas. Turkish Cypriot restaurant owners face also this problem though. In their attempt to attract customers, casinos provide food and beverages to their guests free of charge and can still make sufficient profit from gambling to offset these costs. This is a major cause of income loss for restaurants, as many potential clients combine going out for eating and drinking with gambling. There is nothing that can be done as long as the Cyprus problem remains pending. An additional problem relates with the flow of unqualified personnel from Turkey. The minimum wage there amounts to \$200 per month while it is \$700 in the occupied areas. We therefore witness a mass flow of settlers in to the occupied areas and unavoidably they find jobs at entertainment establishments and displace so Turkish Cypriots who would normally work there. The result of employing of such labour is the

supply of inferior services at the entertainment establishments. In this way, it is the tourism product of Cyprus as a whole that suffers and is exposed.

The association is already in cooperation with the Turkish Cypriot Restaurateurs Association. They have regular contact and discuss common problems but also have an exchange of experience in matters related to harmonization, the HACCP systems and other health and safety or quality systems. Still, the current political situation hinders cooperation both at association and enterprise level. Just imagine what would happen if there were a partnership between a Greek Cypriot restaurant owner and a Turkish Cypriot Restaurateurs with the creation of a restaurant chain operating in the north and in the south alike. On what legal basis, would this happen? How would profit be split? What would happen if the property question is taken into account? All these questions discourage any such cooperation attempts.

With a solution, many of the problems the restaurant industry faces now will be lifted, as Cyprus will be repositioned on the world tourist map. As a result of its vicinity to Kyrenia, Nicosia could also be deemed a coastal city. Currently, the advertisement organized by CTO aimed to attract tourists through the presentation of the free areas, promotes the same time the whole of Cyprus, with all conceivable consequences. Tourism should be a unifying element and is something that has to be united, as with no doubt significant funds (spent on advertising) would be saved to the benefit of both communities and regional advertising will work through sound competition just as it happens today with the regions of the free areas.

It would be possible to see this happening in the case of a solution and of course it would contribute towards raising the importance of the Cyprus Cuisine. In the north, the Turkish Cypriot Cuisine that in general does not differ much from the Greek Cypriot Cuisine, has been suffering influence from the Turkish Cuisine as a result of the political situation. With a solution, this could be fixed however.

At any case, in the event of a settlement there could be more opportunities for cooperation between private persons, Greek Cypriot entrepreneurs operating in the

Turkish Cypriot federal state and vice versa. We could also establish an umbrella organization with the Turkish Cypriots or to accept Turkish Cypriot restaurants in our association, something that now is not possible as our internal regulations provide that only establishments with a license issue by the Cyprus Tourism Organization may become members. In the context of cooperation of the associations it would be possible to set common standards regarding qualification of staff or to launch training initiative, as well as to introduce a code of ethics.

Mr. Thasos Katsourides, General Manager of the Association of Cyprus Travel Agents.

The non-solution scenario entails serious risks given the current construction frenzy and the foreign investment in real property in the occupied areas. The Greek Cypriot tourism industry will have to compete with yet another holiday destination. As long as things remain as they are now, and no direct flights are allowed, there will be no serious problem, but if they are “allowed”, then we will face a serious competitive challenge. The nature of this challenge will be competition and not the fact that the Cyprus problem remains unsettled (itself).

The foreign tour operators would be happy if they could send customers both to the free areas and the occupied areas for overnight stays even if the non-settlement situation continues. But this cannot be done as long as there is no solution of the Cyprus problem. Today, (with the solution pending) there is already some form of cooperation between Greek and Turkish Cypriot travel agents, like in the case of one-day or two-day excursions. This cooperation becomes necessary, as somebody who knows the situation regarding -for instance- paperwork has to escort the groups that cross to the other side. Many visitors in Cyprus go to the occupied areas on organised excursions and they are guided based on the laws of the Republic of Cyprus. A tourist guide licensed by the Cyprus Tourism Organisation accompanies them. They travel in busses approved by the road transportation department. This arrangement is already working as far as excursions are concerned. The state is aware of this and it is something that was arranged in cooperation with the competent state institutions. This happens since the Green Line

opened and there is no obstacle for those who want to go sightseeing in the occupied areas, provided the laws of the republic are respected.

What the Greek Cypriot tourism industry does not want to see happening is the use of Greek Cypriot properties for overnight stays by tourists. But, if even the will to do so existed among tourism bodies and businesses, the individual property owners whose rights are violated, would not consent to this. And they will have the law on their side. They will not accept that their hotels, or hotels built on their properties, can be used by anyone. This is a violation of the law. And this cannot change unless the Cyprus problem is settled. But the Turkish Cypriot travel agents cannot bring tourists from the occupied areas to the free areas for sightseeing tours for the simple reason that the road transportation department of the Republic of Cyprus does not approve the busses they use.

As long as the two economies will be unified after a settlement, and as long as we are going to have one national tourism board, as in the case of Ireland, there will be no problems. In the case of Ireland, we have North Ireland and the Republic of Ireland, which have one tourism board, despite existing religious differences. And this works very well as tourism in Ireland is flourishing. Although it rains all year around in Ireland, it is difficult to book at a golf course. Without any doubt, a settlement of the Cyprus problem will have benefits for the Cyprus tourism industry.

However, the creation of a single unitary tourism policy coordinating body will depend on the kind of settlement that will be achieved. A unitary organisation must be established and we should not have two separate ones. But if there is no agreement on the matter, and we come to the two tourism boards settlement, then we must learn to live next to each other. Even in the case that the solution would provide that each community should have its own tourism board, there is still no room for a non-cooperation scenario, as the property question will also be settled. We should assume that a solution of the Cyprus problem would benefit the entire people of Cyprus. For this there is no reason for having no cooperation. Besides, given that there is cooperation now in the absence of a solution, more cooperation should be expected in the solution scenario.

In the case of no such unitary tourism organisation is established, there would be many forms of cooperation as there would be no longer any violation of the law. This means, that those who will visit what is today the occupied areas, and those who will visit what is today the free areas, may move freely and spend their vacation wherever they wish in the Republic of Cyprus. The Greek Cypriot tourism industry is already one step ahead in terms of marketing, and what has to be done, lies in the area of marketing. It has to be joint and unitary. It cannot be done separately. Should we however have a solution that will not provide for joint marketing, the Greek Cypriot tourism industry can still survive. Regarding standardization in the case of a non-unitary tourism board, it has to be kept in mind that there is not a single tour operator abroad who would send clients on a journey to a destination that does not apply international and EU standards. Whatever the solution we achieve, nobody will go to hotels that are not approved by tour operators and European Union institutions.

Mr. Zacharias Ioannides, Director General of Cyprus Hotel Association

In the case of the continuation of the current situation, and the situation continues to develop with today's odds and dynamics we witness both in the occupied and the free areas, we cannot expect the win-win situation we would otherwise see in the case of a settlement. It is the result of the uncertainty and latent insecurity that this situation creates and does not benefit any of the two sides. The Cyprus Hoteliers Association has stated repeatedly its position that it looks forward to the reunification of our country and when this is achieved, to cooperation with tourism professionals among the entire population of Cyprus. A pivotal element of a settlement will be that justice will be done in the cases of those members of our association who own hotel units in the occupied areas that are illegally in operation now.

As long as the property question remains pending, it will be difficult, if not impossible to have a member of the Cyprus Hotel Association sit at the same table with someone who illegally operates a hotel unit in the occupied area owned by our member. This makes cooperation very difficult if not impossible. Given the political nature of the property issue, the Cyprus Hotel Association does not discuss any sort of compensation

arrangements but only tries to protect the interests of its members. Among them, there is a group of hoteliers who own hotels in the occupied areas. Therefore, what each of these members decides to do individually remains his or her right to do so. Such cooperation under the current situation would not only affect the legal interests of the members of the association but could also be reason for some negative sentiment among them.

The consequences in case that the status quo remains unchanged are totally obvious. First of all, they obstruct to some degree foreign investment in tourism in Cyprus, as it happens in other competitive destinations, where we witness rapid development. Such examples are Turkey, Egypt, Tunisia, Morocco, Dubai and other North African and Middle East countries where true investment frenzy is taking place. Cyprus on the other hand is left out in the rain, while it could also attract such investment if it were united. World famous hotel chains are not interested in Cyprus the way they are attracted in countries that compete with us. Cyprus, both because of its geographical position and the fact that it is an established tourism and business centre, could attract such investments if its political issue were settled.

At any case, comparing the two possible scenarios, the settlement scenario is the one that creates a new dynamism with all the positive messages this emits to the world. It also provides the possibility to re-launch the united Cyprus as a new destination for potential tourists. This comes together with all other benefits that a novelty can bring to a new destination. This will at any case create the preconditions so that the whole of the Cyprus tourism industry can benefit from a drastically increased interest in visiting our island.

The event of a solution would offer Cyprus a golden opportunity to reposition itself reunited. This would happen for the very first time for some decades. The international experience shows that when a destination is repositioned with a new approach that includes a novelty, automatically it attracts potential tourists who want to satisfy their curiosity but also, and this is more important, tour operators include it in their catalogues in an attempt to offer their customers something new. Thus, in this perspective it could allow tourism to rebound impressively.

In order to have cooperation (between the Greek and Turkish Cypriot hotel industries), an important precondition for the Greek Cypriot hotel industry has to be satisfied: The owners of hotels, which are currently in the occupied areas, have to be reinstated. If this condition is met, there is no hesitation towards cooperation. We look forward to cooperation so that we can contribute to a dynamic repositioning of the unified Cyprus.

The question over how tourism bodies in the event of the settlement should be composed, operate and what kind of competences they should have, was already set when the relevant provisions of the Annan Plan were studied. In the case of a settlement our association believes that there is no room for rivalry in the tourism industry. Tourism policy has to fall under the competences of the central government with a unitary planning, unitary operation and competences. This would allow the repositioning of Cyprus. Thus, we can avoid unnecessary and damaging competition between the two communities for tourism and through various synergies we can achieve a win-win situation. The flaws in the current structure of the bodies responsible for the tourism industry did not allow any synergies and caused delays in the realization of agreed planning like in the case of the strategic development plan. For this, the tourism industry in the event of a settlement would benefit from having its own body, operating in a mixed form of cooperation between private and governmental sector. This would ensure that timetables are met and the availability of resources required for the body to operate smoothly and flexibly so that it can react promptly to changes taking place in the international tourism industry.

Mr. George Mavrovouniotis, President of the Cyprus Car Rental Association

The present situation is a cause for reservation among people in Cyprus and a source of direct competition with the other side. As (the southern part of) Cyprus is part of Europe, it is more expensive than the occupied areas. In other words, there is some sort of unfair competition. There are some development projects underway in occupied north and this should be seen as an indication of some expectations regarding the future demand for tourism services.

Clients of Greek Cypriot car rental companies are allowed to travel to the other side with the cars they rent. However, because of the current political situation, when a client comes to sign a car rental contract, he/she is informing that the car insurance policy does not cover the occupied areas. They will have to go there, if they still wish to, on their own risk. There is however a way to get an insurance contract at the Green Line, but this kind of insurance does not satisfy the Greek Cypriot car rental companies at all. If there is an accident on the other side, it is not possible for the tourists who rent cars to claim compensation in case of an accident because of the issue of non-recognition of a state across the green line. In the contract they offer, the Greek Cypriot companies explain that it is a client's risk to drive to the other side. The companies explain to their clients that the companies neither are responsible nor have the means to help in case of an accident in the occupied areas. It is the clients who have to pay us for any damages but they can also claim compensation from the Turkish Cypriot insurance company. However, if Greek Cypriot insurance companies covered journeys to the occupied areas, more cars would be rented, as more tourists would drive to the occupied areas. Tourists would arrive at the Larnaca-Airport, they would rent a car and they would then drive directly to the occupied areas. This would also result in longer contracts, as one would need a car for more days to drive around the island. But such an interim arrangement that could allow cars rented from Greek Cypriot companies to be insured by Greek Cypriot insurance companies to travel to the other side cannot be possible, as it would mean that the existence of a state on the other side would be recognized.

Mr. Mavrovouniots addressed a letter to the foreign ministry three years ago, and explained that Sixt, the company he represents with a franchise contract covering All-Cyprus, wanted to expand to the other side and asked them for advice. The ministry informed him orally, that he could open (a business) there with a Turkish Cypriot but that the business had to use Turkish Cypriot land. He asked them to send him their reply in a letter but they failed all these years, although they could have thought about these matters since the Green Line opened. Mr. Mavrovouniotis discussed unofficially with Turkish Cypriots the possibility of having maintenance services in the other side for cars that break down. Currently, the big international car rental companies which have

representative contracts covering All-Cyprus, exercise pressure towards operating in the other side but because of the Cyprus problem, Greek Cypriot car rental entrepreneurs continue to resist. A continuation of the current situation beyond 2008 could affect negatively the renewal of franchise contracts covering all Cyprus. The same goes for some of the largest tour operators that have not got involved until now in the other side as they also put pressure in this direction.

Further, since the opening of the Green Line that led to the rapid development of the economy on the other side, the Turkish Cypriots became more independent and less prepared to compromise, while before that they were about to revolt. The opening of the Green Line had a negative impact on the Greek Cypriot car rental business. Many tourists travel with buses to the other side. As a result, a lot of foreign exchange is diverted to the other side. The Turkish Cypriot side is the only side that has benefited from the opening Green Line.

In the event of a settlement, tourism will receive a boost and tourist arrivals will increase not only from Cyprus's traditional markets but also from Turkey. Kyrenia is very near (to Turkey) and the travel cost is low. This would apply only if the economy is free and no restrictions exist in doing business, which means that there will be one state, one economy and one central bank and not two entities, with one competing with the other. A political settlement, based on a federal model, would allow Greek Cypriot car rental companies to operate in the whole of Cyprus through sublicensing and any Turkish Cypriots would have to apply to them for a license and not to Europcar or Heinz directly. This should not affect their desire for a settlement. A settlement of the Cyprus problem would lead to more investment in holiday houses and villas but also to more traditional tourist product. Traveling to Cyprus would evoke less feeling of fear. More markets will open for Cyprus as a result of specialist tour operators who have ties with Cyprus, as it happened with the UK, which is currently Cyprus's main tourism market. This could also happen in the case of Germany where some Turkish Cypriot tour operators are active.

Statement by the Cyprus Tourism Organisation (CTO):

“The Cyprus Tourism Organisation believes that a just solution in the Cyprus problem that would bring the reunification of our country would have a positive impact on the island’s tourism industry. Through the reunification of our country, CTO believes in a single entity of the tourism product that Cyprus will offer. Subsequently, we believe in one strategic planning for the product development, in one promotional and exposure effort and in one marketing effort to attract tourists. We neither agree with separate tourism development efforts, nor with separate promotional efforts, nor with the existence of two separate tourism boards, nor with the development of competitive tendencies between what are today the free areas and what are the occupied areas. Until that blessed day of reunification, we shall continue our efforts for the development, promotion and exposure of the part that is free and will continue to condemn the illegal exploitation of our land, the Greek Cypriot hotels and properties in the occupied part of Cyprus. Parallel to this, we shall continue to resist with all our strength the efforts of the authorities of the occupied areas to develop tourism on our enslaved land. We certainly monitor the situation and developments in the occupied side of our island with great attention and take all necessary measures where it is advisable”.

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